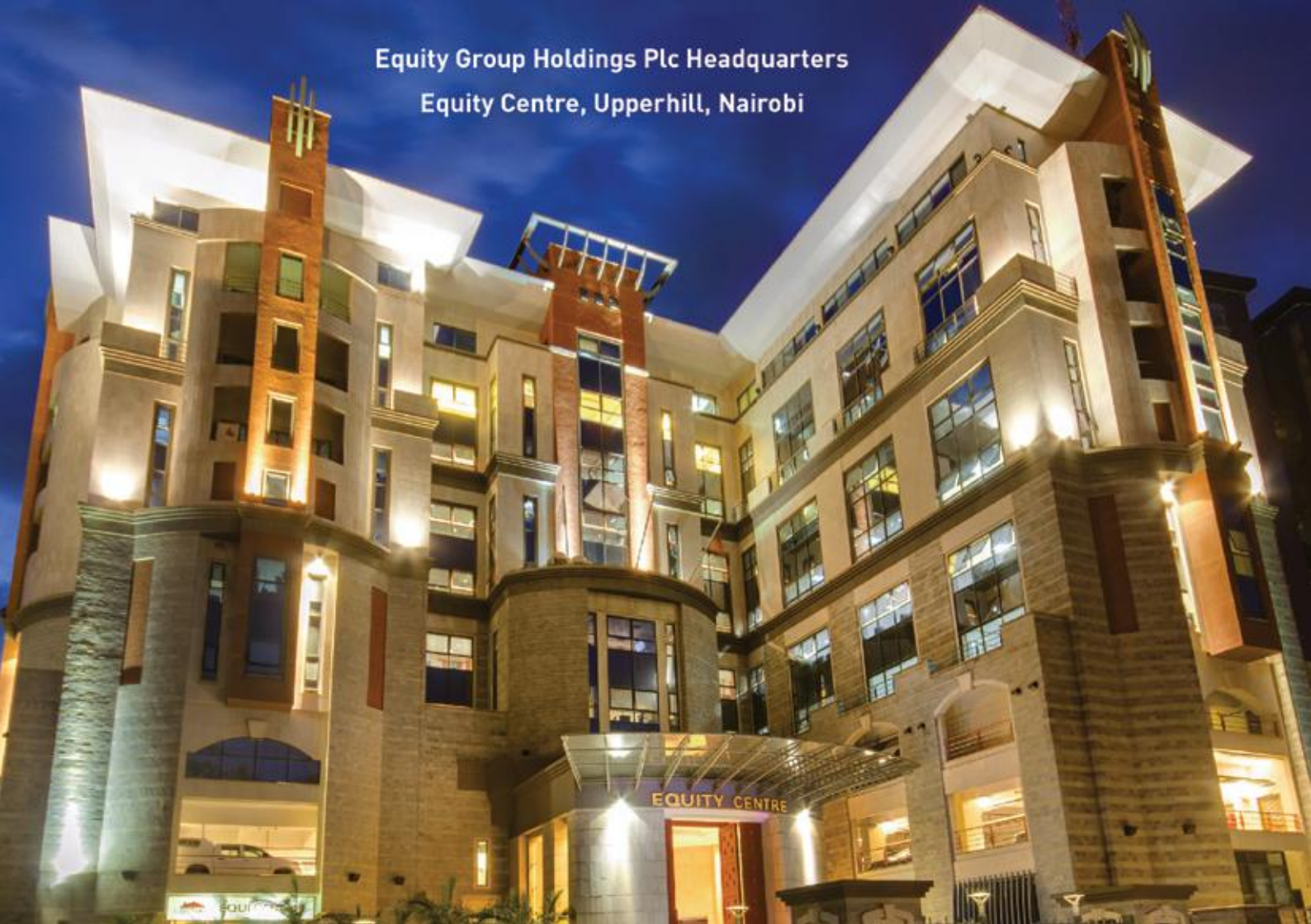


INVESTOR BRIEFING

Q3 2023 PERFORMANCE



Equity Group Holdings Plc Headquarters
Equity Centre, Upperhill, Nairobi



Equity Group's Philosophies

Our Purpose:

Transforming lives, giving dignity and expanding opportunities for wealth creation

Our Vision:

To be the champion of the socio-economic prosperity of the people of Africa

Our Mission:

We offer integrated financial services that socially and economically empower consumers, businesses and communities

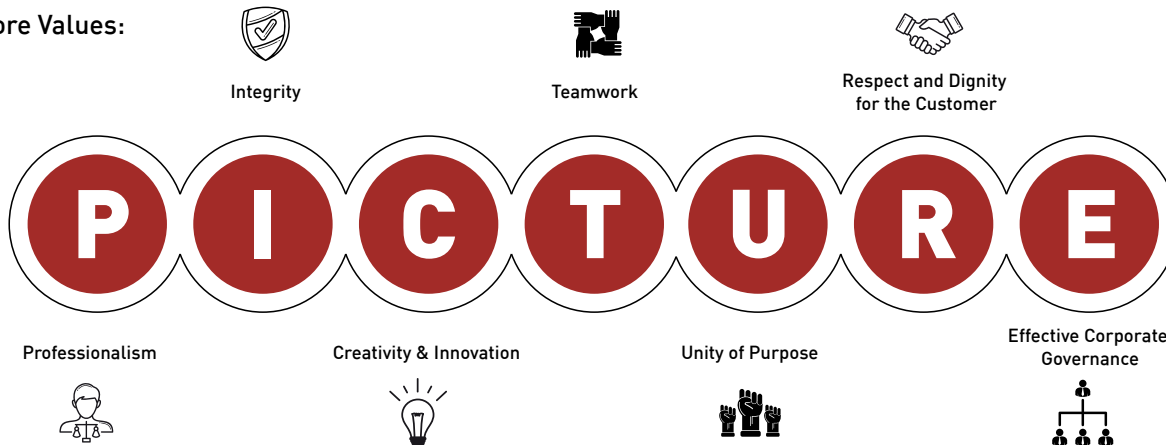
Positioning Statement:

We provide inclusive financial services that transform livelihoods, give dignity and expand opportunities

Our Inspiration

That when years turn our vision dim and gray, we shall still see beauty in the tired wrinkles of our faces and shall take comfort out of the fact and knowledge that when we were given the opportunity, we did all we could to empower our people to exploit opportunities and realize their full potential on the road to economic prosperity

Our Core Values:



MEMBER

MEMBER

MEMBER

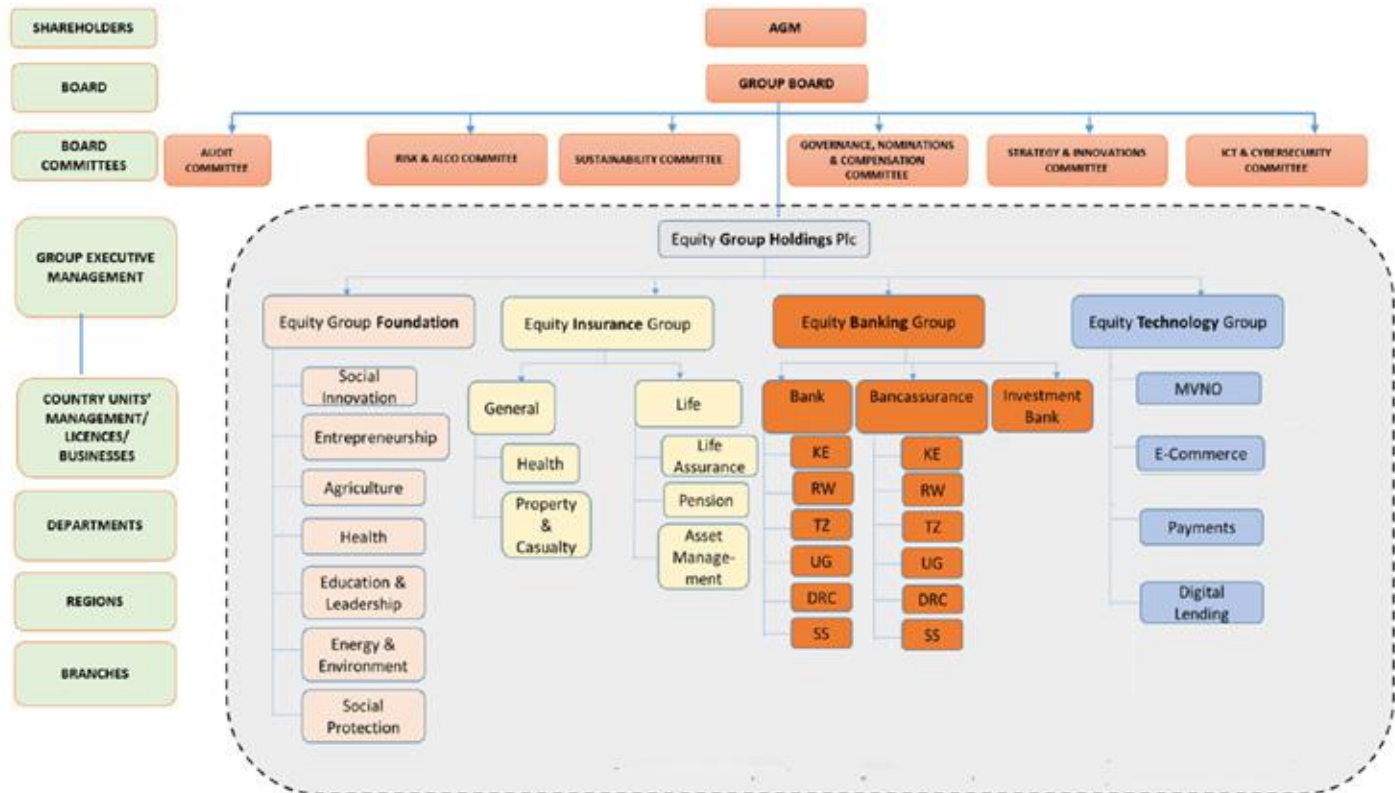
MEMBER

MEMBER

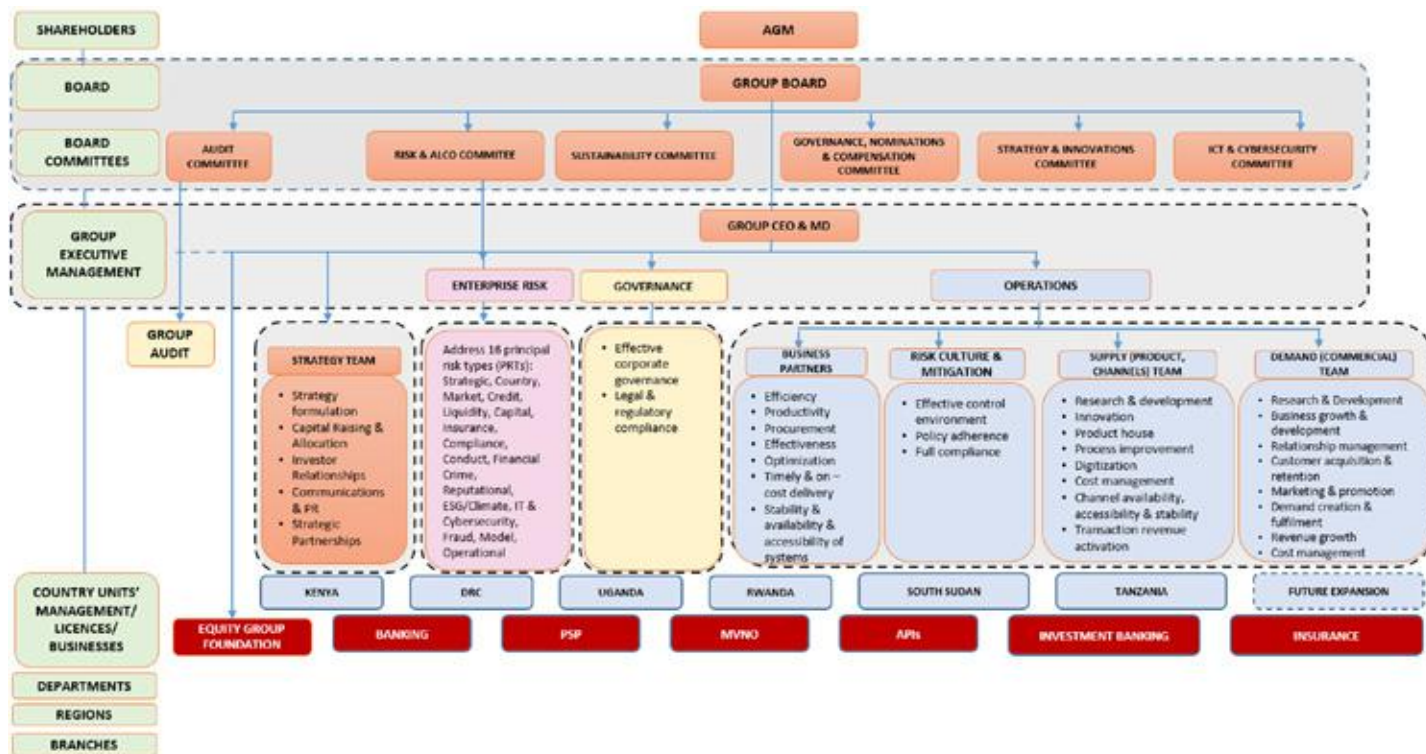
MEMBER

**Governance and
Organizational Structure**

Governance & Risk Management Framework

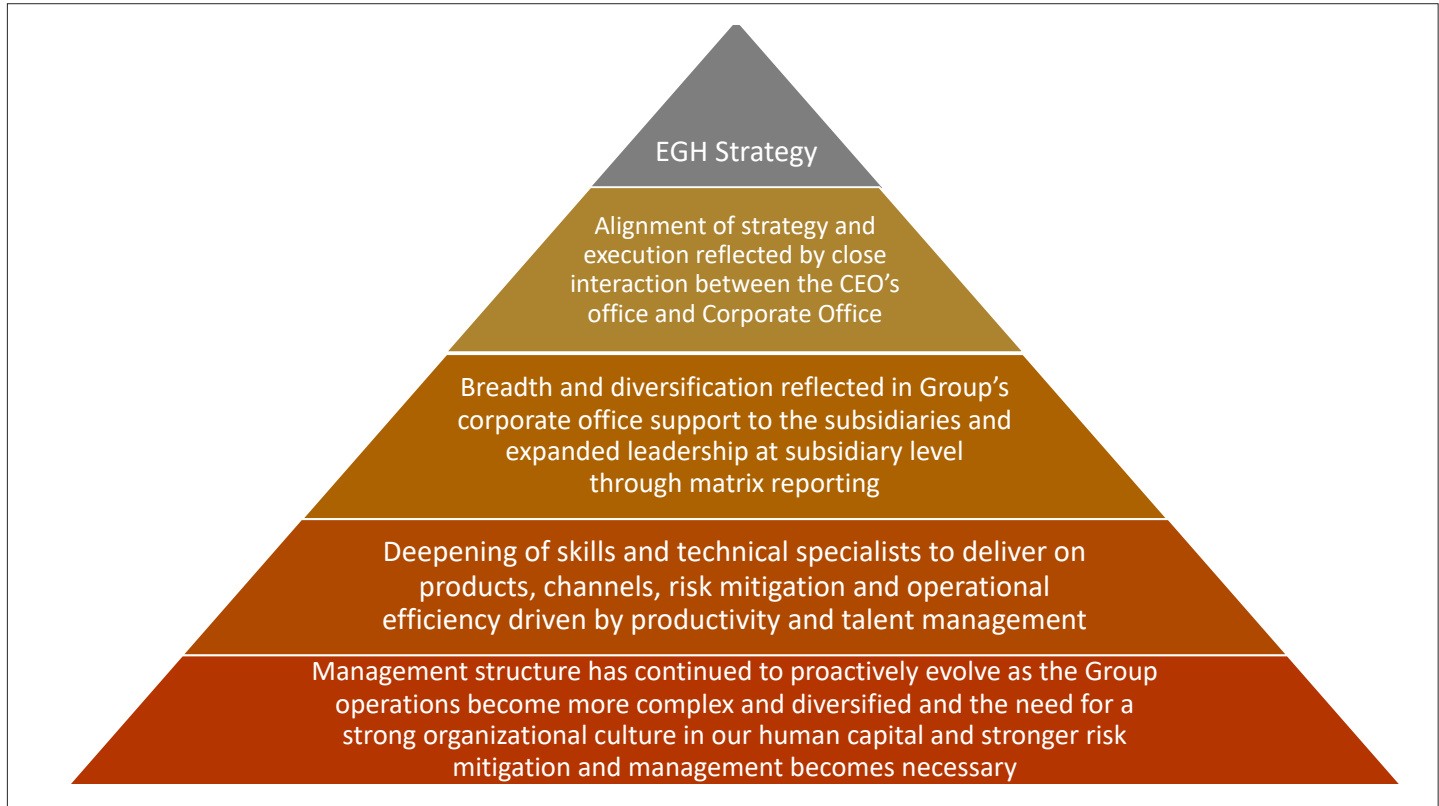


Governance & Responsibility Framework



Governance and Organizational Structure

Breadth and Depth of the Management Team



Group Executive Management



Dr. James Mwangi, CBS
Group Managing Director &
Chief Executive Officer



Mary Wamae
Group Executive Director



Samuel Kirubi
Group Chief Operating
Officer



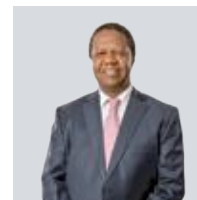
Samuel Makome
Group Chief Commercial
Officer



Brent Malahay
Group Chief Strategy Officer



Gertrude Karugaba
Chief Legal Officer



Sam Gitwekere
Group Chief Risk &
Compliance Officer



David Ngata
Group Finance Director



Emmanuel Deh
Group Director Credit Risk



Lydia Ndirangu
Group Company Secretary

Group Executive Management



David Ssegawa
Group Director Human
Resources Operations



Ignatius Chicha
Group Director Treasury



Rene Kalonji
Chief Product Officer



Christine Browne
Group Director Special
Assets



Joy DiBenedetto
Group Director
Communications



Michael Kwofie
Chief Information Officer



Reshma Shah
Group Director
Sustainability



Paul Wafula
Group Director Compliance



Thelma Kganakga
Chief Information
Security Officer



Bildard Fwamba
Chief Internal Auditor

Group Executive Management



Gerald Warui
Managing Director,
Equity Bank Kenya



Isabella Maganga
Managing Director,
Equity Bank Tanzania



Anthony Kituuka
Managing Director,
Equity Bank Uganda



Victor Omondi
Acting Managing Director,
Equity Bank South Sudan



Hannington Namara
Managing Director,
Equity Bank Rwanda



Angela Okinda
Managing Director, Equity Life
Assurance (Kenya) Limited



Célestin Muntuabu
Managing Director,
EquityBCDC S.A.



Jean-Claude Tshipama
Deputy Managing Director,
EquityBCDC S.A.

Group Board of Management



Prof. Isaac Macharia
Non-Executive Chairman



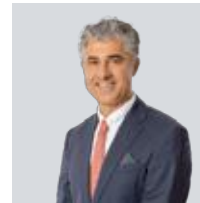
Dr. James Mwangi, CBS
Group Managing Director and
Chief Executive Officer



Mary Wamae
Group Executive Director



Dr. Edward Odundo
Non-Executive Director



Vijay Gidoomal
Non-Executive Director



Jonas Mushosho
Non-Executive Director



Dr. Helen Gichohi
Non-Executive Director



Dr. Evans Baiya
Non-Executive Director



Lydia Ndirangu
Group Company Secretary



Press Release

Press Release

EQUITY GROUP HOLDINGS CHOSE CUSTOMERS OVER PROFITS

1. Grew loan book by 26% to support customers in a difficult environment.
2. Maintained yields on loan almost flat at 12.1% despite 35% growth in cost of funding.
3. Interest income growth of 32% trails interest expense growth of 58% as the Group opted to absorb the cost increase instead of passing it over to the customers.
4. Group intensifies financial literacy and entrepreneurship training, strengthens relationship management, and applies Kshs. 21.4 billion credit guarantees to capacitate and de-risk customers.

Nairobi, Kenya – Monday 20th November 2023: In a macro-economic environment characterized by high inflation, interest rates and a strengthened US Dollar against local currencies that has hit the economies and the customers hard, Equity Group Holdings ('the Group') chose to stand by and cushion its customers while keeping on the lights of the economies it operates in. The Group grew its loan book by 26% from Kshs. 673.9 billion to Kshs.845.9 billion allowing the lights of the economies to remain on, while offering its customers the funding flexibility to restructure their businesses and adopt to the new normal while taking advantage of new green shoots as the economic reforms create new opportunities.

Picking the lessons and insights from the Covid-19 global health pandemic when the Group saved thousands of households, micro, small and medium enterprises by giving them loan repayment breaks and rescheduling 45% of its loan book, the Group determined that the macro-economic shocks occasioned by rise in interest rate, inflation and depreciation of local currencies required transferring and mitigating from transmission of the entire impact on households and enterprises. The Group chose to moderate the inflation impact, by absorbing the effect of inflation in its operational cost, while at the same time absorbing the rise in interest rate on deposit/debt without transferring the full effect to the customers.

While interest expense on funding from deposits and long-term debt grew by 58% as a result of the high cost of funding driven by the current economic environment, top line interest income grew by 32%, with net interest income growing by 21% as the Group chose to cushion its customers by not passing the entire cost of funding over to them. Speaking while releasing the results during the Group's 3rd Quarter 2023 investor briefing, Dr. James Mwangi, Equity Group Managing Director and CEO said, "It was a strategic decision to support and cushion our customers to fortify their opportunities for survival and enhance their resilience during these difficult

Press Release (continued)

economic times by absorbing part of the funding costs and keeping yields on loans and government securities at almost the same level at 12.1% and 11.5% respectively”.

“We grew our loan book by 26% despite the uncertainty of difficult economic times to ensure our customers continued to fund their dreams while keeping the lights of the economy on. We did not hesitate in making this strategic decision to focus on supporting our customers to navigate and survive the difficult and challenging microeconomic environment as this aligns to our true north, our purpose to change lives, give dignity and expand opportunities for wealth creation. It was an easy strategic choice to focus on the long-term resilience of our customers’ success,” added Dr. Mwangi.

As a result of interest expense growing faster at 58% than interest income that grew by 32%, net interest income grew slower at 21%, while non-funded income grew at 38% to deliver a 28% growth in total income. Total costs grew by 47% as the Group opted to absorb the impact of global and regional inflation and depreciation of local currencies that saw staff expenses grow by 33% and other operating expenses by 38%. While the cost of funding and deposits rose by 35% and total operating costs grew by 47%, yields on loans increased by 7% only from 11.3% to 12.1% as we focused on cushioning customers to enhance their chances of survival and resilience. Loan loss provision grew by 107% from Kshs. 8.6 billion to Kshs. 17.7 billion to strengthen the NPL provisions coverage buffers. Consequently, profit after tax grew by 5% to Kshs. 36.2 billion up from Kshs. 34.4 billion.

The long-term strategic pursuit of geographical expansion and diversification continues to deliver impressive results. Group deposits grew by 20% to Kshs. 1,208.6 billion up from Kshs. 1,007.3 billion with Kenya contributing 51% after a growth of 4% while subsidiaries contributed a 49% growth driven by deposit growth of 28% in DRC, 32% in Uganda, 39% in Rwanda and 56% in Tanzania.

Loans grew by 26% to Kshs. 845.9 billion up from Kshs. 673.9 billion with Kenya contributing 54% after a growth of 8% while subsidiaries contributed a 46% growth reflecting strong growth of 71% in DRC, 40% in Uganda, 33% in Tanzania and 20% in Rwanda. Total assets grew by 24% to Kshs. 1,691.2 billion up from Kshs. 1,363.7 billion with Kenya contributing 53% after a growth of 11% and subsidiaries contributing 47% driven by 31% growth in DRC, 34% growth in Uganda, 40% growth in Rwanda, 44% growth in Tanzania and a 63% growth by Equity Life Assurance Kenya.

Group revenue registered a 28% growth with Kenya contributing 50% after a 13% growth as subsidiaries contributed 50% driven by strong revenue growth of 81% in DRC, 33% in Uganda, 38% in Rwanda and 203% for Equity Life Assurance Kenya. Non-funded income

Press Release (continued)

registered robust growth of 38% to Kshs. 56.5 billion up from Kshs. 41.1 billion as net interest income grew by 21% to Kshs. 72.6 billion up from Kshs. 59.8 billion allowing non-funded income to contribute 43.8% of the total income of Kshs.129.1 billion up from 40.7% the previous year.

Group profit after tax grew by 5% to Kshs. 36.2 billion up from Kshs. 34.4 billion with Kenya contributing 50% with an equivalent contribution of 50% coming from the subsidiaries driven by a growth of 142% in DRC, 23% in Uganda, 46% in Rwanda, 136% in Tanzania and 177% by Equity Life Assurance Kenya.

A Group-wide broader strategic diversification by geography, business lines, industry/sector, product portfolio, currencies of operations, streams of income and delivery mechanism has yielded risk management benefits and strengthened the Group's resilience by sustaining key buffers of diversified quality income streams, capital base, liquidity and quality of assets and efficient and effective operational delivery mechanisms.

	KENYA	SUBSIDIARIES
Total Assets	53%	47%
Revenue	50%	50%
Profit after tax	50%	50%

The loan book reflects diversification with 47.6% being in US dollars while 52.4% is in local currencies. It is distributed among retail, MSME, agriculture, corporate and large enterprises, and public sector covering all segments of the economy and eco-systems. Branches processed 5% of the loan disbursements with a value of 58% of the entire portfolio while digital channels processed 95% of loan disbursements and 42% in value. Innovation and business transformation through digitization in lending and lifestyle support, digital and online transaction processing, and payments have delivered ease and convenience to customers.

Press Release (continued)

	DISBURSEMENT VALUE GROWTH	DISBURSEMENT COUNT GROWTH
Kenya	55%	55%
Uganda	144%	115%
Tanzania	2,088%	117%

Digitization continues to register good adoption with 82% of all transactions now being cashless.

Through diversification of operations, the Group has anchored a high-quality diversified streams of income that are resilient to shocks resulting in 28% growth in total income.

STREAM OF INCOME	CONTRIBUTION (KSHS)	PERCENTAGE CONTRIBUTION
Interest income on Loan & Advances	70.6 billion	44.8%
Interest income on Government Securities	36.5 billion	23.2%
Fees & Commission on Loans and Advances	6.8 billion	4.3%
Transaction fees, Trade Finance & Non-loan commissions	29.7 billion	18.9%
Foreign Exchange Trading	13.9 billion	8.8%

Press Release (continued)

Focus on Trade Finance in support of the Africa Continental Free Trade Agreement (AfCFTA) aspirations, saw gross trade finance income grow by 90%. Foreign exchange income grew by 56% which was driven by a 24% growth in foreign remittances to Kshs. 309.1 billion up from Kshs. 248.7 billion delivering essential forex inflows while raising remittance processing income by 19% from Kshs.1.3 billion to Kshs1.6 billion.

A difficult macroeconomic operating environment characterized by high inflation and interest rates and depreciation of local currencies as the US Dollar strengthened saw NPLs increase to 12.2% up from 9.8% against an industry average NPL of 15% as at August 2023. To mitigate the effects of the NPL rise, the Group increased loan loss provisions by 107% to Kshs.. 17.7 billion up from Kshs.. 8.6 billion to achieve a strong NPL coverage of 67.2% on provisions and 86.4% with guarantees at an elevated cost of risk of 3.2% up from 2.0%.

High inflation and depreciation of local currencies saw staff cost growth of 33% while other operating costs grew by 38% resulting in total cost growth of 47% faster than 28% growth in total income. This drove the cost income ratio to 50.2% up from 41.7% resulting in a 5% growth in net income or profits after tax to Kshs. 36.2 billion, up from Kshs. 34.4 billion.

The Group strategically positioned the balance sheet to be agile with a liquidity ratio of 49.7% to respond to emerging opportunities as the macroeconomic environment eases and to have a quality balance sheet as uncertainty reduces and business bounces back.

ASSETS	KSHS BILLIONS	PERCENTAGE CONTRIBUTION	FUNDING	KSHS BILLIONS	PERCENTAGE CONTRIBUTION
Cash & Cash Equivalent	262.7	15.6%	Deposits	1,208.6	71.5%
Government Securities	445.2	26.3%	Long-term funds/debt	214.0	12.6%
Net Loans	845.9	50.0%	Shareholders' funds	195.2	11.4%

Press Release (continued)

The agility of the balance sheet combined with loan portfolio diversification geographically and across broad sectors and segments and a diversified bucket of currencies offer the Group the flexibility of repositioning with emerging opportunities to pursue growth as the economic tide turns. In spite of the challenging macroeconomic environment, the Group has preserved and sustained its strength in asset quality relative to the market at 12.2%, high liquidity of 49.7%, strong NPL coverage of 67.2%, and an agile balance sheet supported by strong capital buffers with the core capital to risk weighted assets at 15.2% against a minimum of 10.5% and total capital to total risk weighted assets of 19.2% against a minimum legal requirement of 14.5%, giving the Group headroom for agility and flexibility as the macroeconomic environment eases.

Equity Group has intensified its social impact investments through its shared prosperity model to capacitate and de-risk clients through financial education for women and youth which has benefited 2,422,030 clients, with 459,537 MSMEs receiving financial training to strengthen their entrepreneurship skills. Kshs. 259.3 billion has been disbursed to 269,081 MSMEs under the 'Young Africa Works Program' in partnership with Mastercard Foundation, also availing a credit guarantee and credit risk sharing facility within the program. 3.8 million small-scale farmers have been served via capacity building and access to finance programs that have, in addition, reached 292,362 small and medium sized agri-businesses. The Group has also supported community and society through its Wings to Fly and Elimu Scholarships which have benefited 55,583 secondary school scholars, while the Equity Leadership University Program has reached, 18,735 university scholars with 857 global scholars and 3,454 full scholarships for TVET programs. The Equity Afia Medical Franchise with 89 medical facilities has recorded 1,921,919 cumulative patients visits.

The Group continues to grow its brand, now recognized as the 4th strongest financial brand globally by Brand Finance while registering superior performance to be ranked in the 14th position of Africa's best performing banks and the best and strongest in Eastern and Central Africa by The Africa Report. In this challenging macro-economic environment, the Group has registered a Return on Average Assets of 3.1% and a Return on Average Equity of 25.1%, while being strategically positioned with strong capital and liquidity buffers to bounce back as the stormy macroeconomic tide eases and as the operating environment improves with the recovery of our economies.

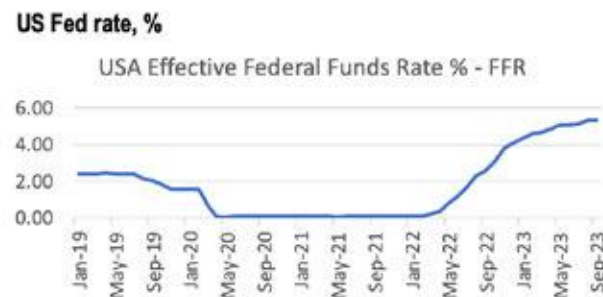
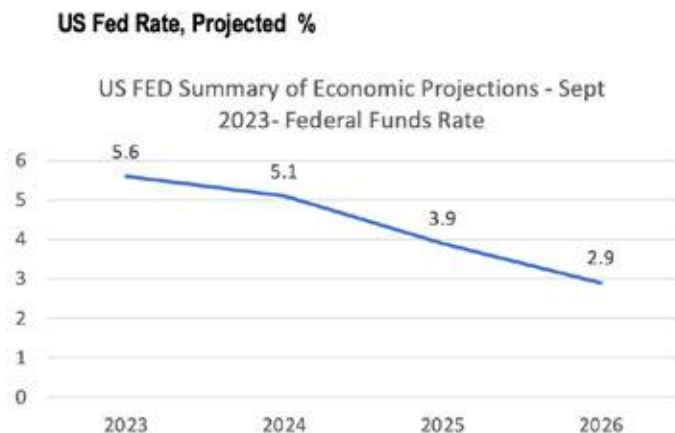
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Macroeconomic and Operating Environment

Global macro environment

Higher for longer rates and further possible hikes from major central banks



- The world's major central bankers have indicated holding monetary policy rates higher for longer and maintaining tight monetary policy is likely, to counter inflation which remains above their targets.
- Federal Funds Rate is expected to peak in Q4 2023.
- Higher for longer interest rates in the world's major economies, implies foreign capital inflows into Emerging and Developing Economies (EMDEs) will remain subdued.



East Africa – Fastest growing region in the world

Fiscal consolidation as governments bring down their fiscal deficits

General government net lending / borrowing % of GDP



- The government budgets proposed by most of the member states of the East African Community in June, indicated fiscal consolidation, implying continued focus on reducing the budget deficit. This policy is intended to rebuild fiscal space (buffers) that have been eroded.
- In a global economy facing several headwinds, we believe mid-to-high-single-digit real GDP growth goes a long way towards mitigating the risks from macroeconomic imbalances. East Africa is the fastest growing region in the world; we expect it to grow at 5.7% in 2023,
- We believe the region's robust real GDP growth will help mobilise the government revenue required to reduce negative budget deficit/GDP balances, and in so doing, lower public debt/GDP over the medium term.

Overview of the “Africa Recovery and Resilience Plan”

The Plan

The Africa Recovery and Resilience Plan is aimed at catalysing a demand complementarity-led transformation of Africa, underpinned by: (i) capacitating and enhancing productivity of raw material producers, (ii) integrating primary producers to more co-ordinated African productive / manufacturing capacities; and (iii) connecting these primary and secondary sectors to global supply chains (and capital markets) that are now more focused on reducing concentration risks with increased focused on assurance of accessibility.

Equity Group's execution of the “Africa Recovery and Resilience Plan” will be underpinned by its **Social and Economic Engines** that capacities value chains (Social Engine) and provide holistic financial solutions to productive ecosystems (Economic Engine).

Equity Group's excess liquidity (currently ~2% of cumulative GDP of east and central Africa) will be redirected to the private sector across various value chains.

6 Pillars of the Plan

The Plan comprises 6 strategic pillars that ensure a systematic, co-ordinated and holistic framework for execution:

- **A more coherent and productive natural resource ecosystem in agriculture and extractives** - more co-ordinated, connected and capacitated primary supply chains will drive higher productivity and throughput
- **Manufacturing and logistic anchors** - Africa has an opportunity to leverage off its natural endowments to anchor expansion of productive capacities and manufacturing capacity. More importantly, a coherent primary sector which is integrated to pan-African productive capacities will drive demand complementarities across regional blocs over the medium- to long-term
- **Trade and investment to give broader market access and support factor mobility** - expanded markets and access to technology, capital and skills will enhance offtake of African products and services
- **MSMEs** - connectivity of small businesses into formal primary and secondary sector value chains will enrich and drive more integrated domestic value chains / demand complementarities
- **Social and environmental transformation** - capacity building of value chain stakeholders, especially amongst smallholder farmers and MSMEs will drive sustainable productivity gains and improve ease of factor mobility
- **Technology-enabled economy** - online businesses will accelerate connectivity and velocity in ecosystems

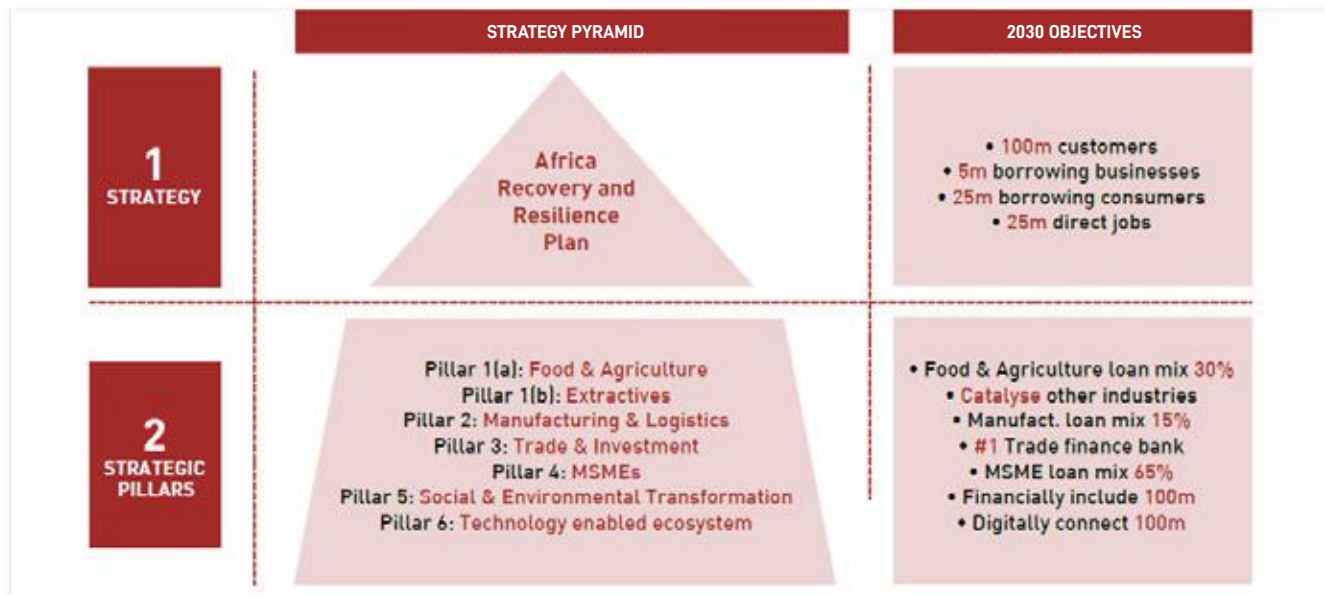
Objectives of the Plan

The first phase (end-2030) objectives of the plan include:

1. **Inclusivity of 100 million online businesses and customers:** Economic and social inclusion of more productive households and financially enabled value chains
2. **Multiplier effect of 5 million borrowing businesses and 25 million borrowing consumers:** borrowing businesses to drive value chain expansion and employment, whilst consumer borrowing to enable household aspirations and livelihoods
3. **Employment of 50 million:** 25 million direct jobs to be created as businesses grow and a further 25 million indirect jobs created as value chains expand and deepen
4. **Additional private sector lending of ~2% of regional GDP:** loan book to be directed towards agriculture (30%), manufacturing (15%), MSMEs (65%)

2030 Strategy Framework

Equity Group's 2030 strategy is a multi-pronged and holistic solution to achieve social and economic transformation of Africa. The strategy comprises 6 strategic pillars that will be operationalized through a collaborative, deliberate and ecosystem centric approach. The plan was conceived with execution in mind and with no economic and financial assumptions, only targets!



MEMBER

MEMBER

MEMBER

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MEMBER

Equity Bank Business Model and Strategy

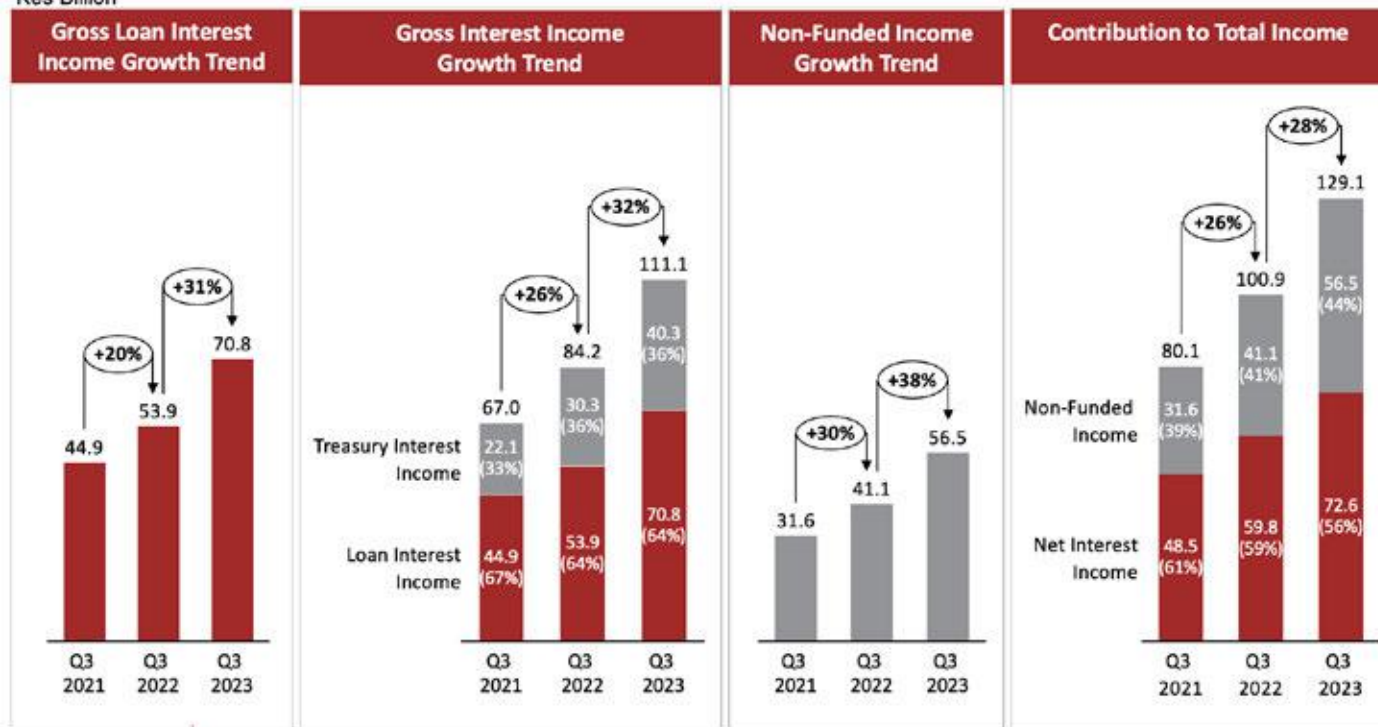
Equity Bank Business Model & Strategy Focus

Inclusive, High volume, Low Margin, Digital and Experiential, Agile and Quality-Driven Business Model

- 1.** Non-Funded Income Growth
- 2.** Treasury Efficiency
- 3.** Geographical Expansion and Business Diversification
- 4.** Balance Sheet Efficiency, Optimization and Agility
- 5.** Business Transformation - Innovation and Digitization
- 6.** Asset Quality, Distribution and Risk Mitigation
- 7.** Efficiency and Cost Optimization
- 8.** Emerging Business Lines
- 9.** Impact Investment & Social Brand Development

Focus Area 1: Non-Funded Income Growth

Kes Billion

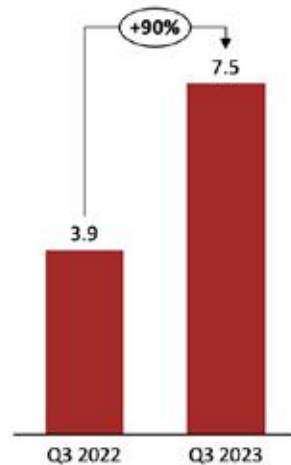


Focus Area 1: Non-Funded Income

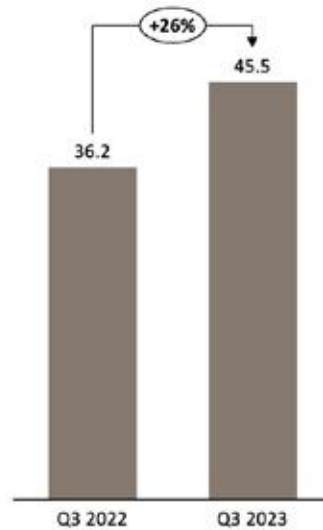
Trade Finance Performance

Kes Billion

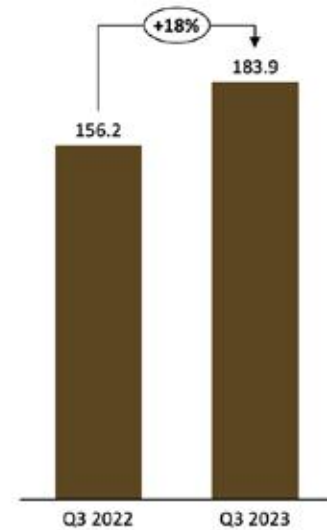
Gross trade finance revenue



Trade finance related lending

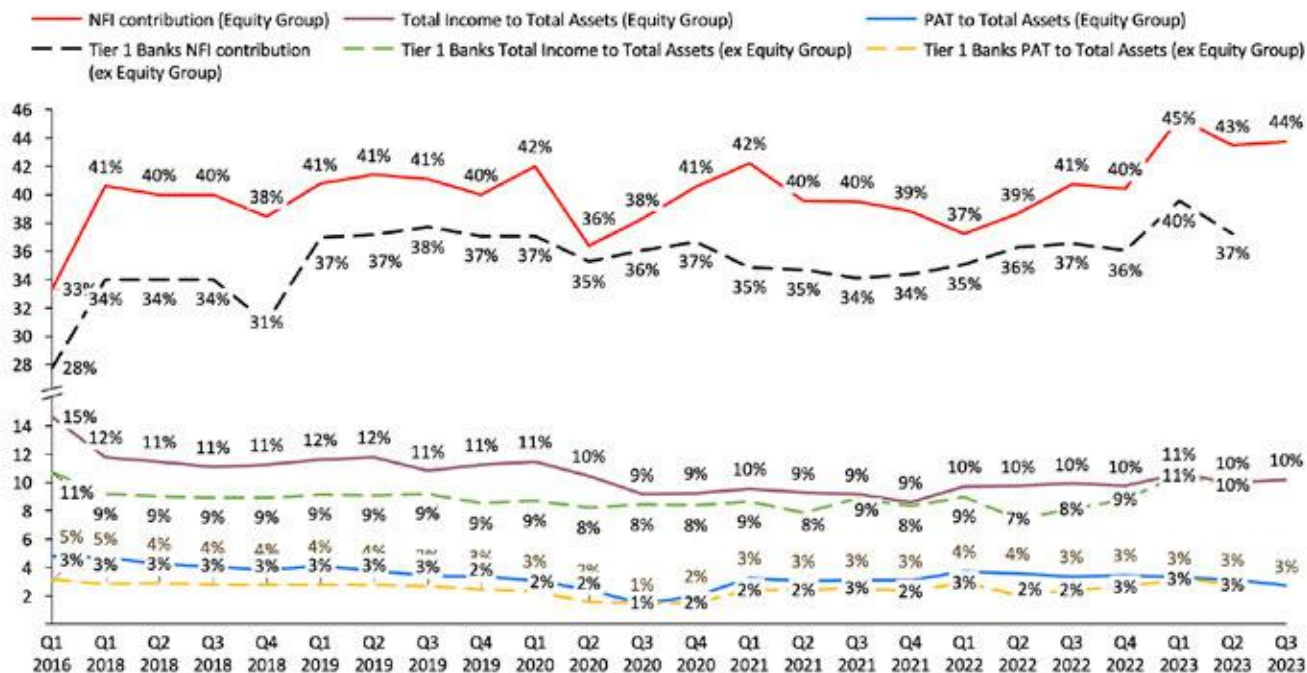


Trade finance guarantees & off-balance sheet Items



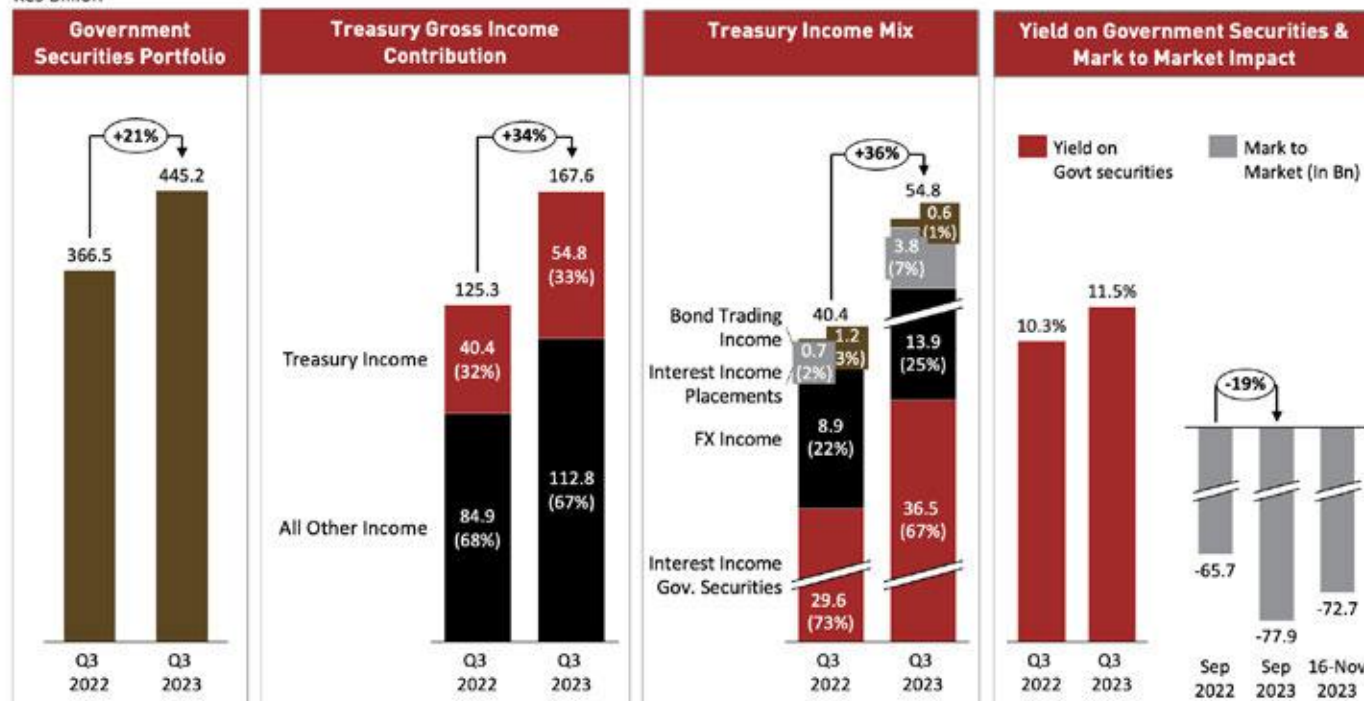
Focus Area 1: NFI Contribution

Equity's focus on NFI has led to strong returns compared to the market with income and profitability on total assets at market levels



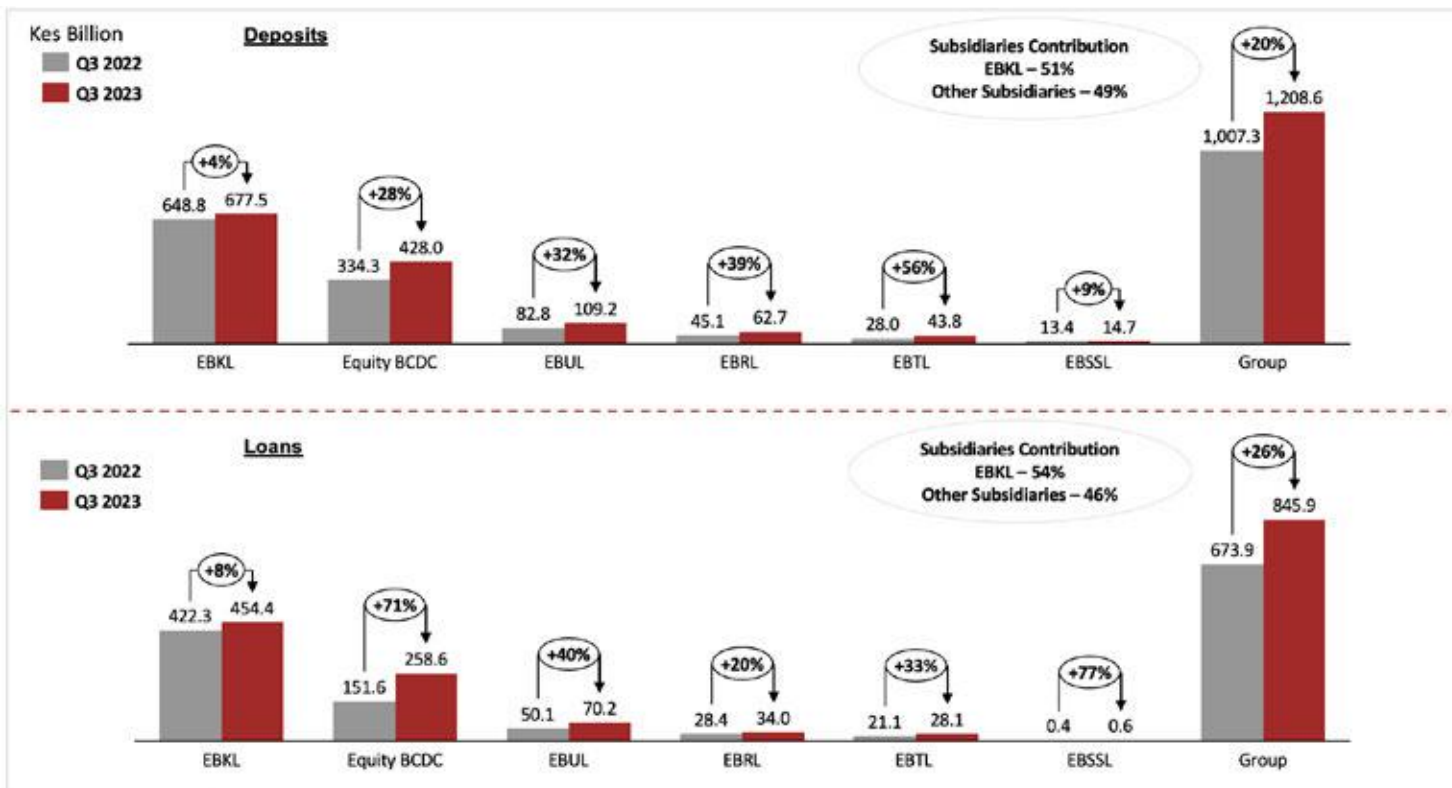
Focus Area 2: Treasury Efficiency

Kes Billion



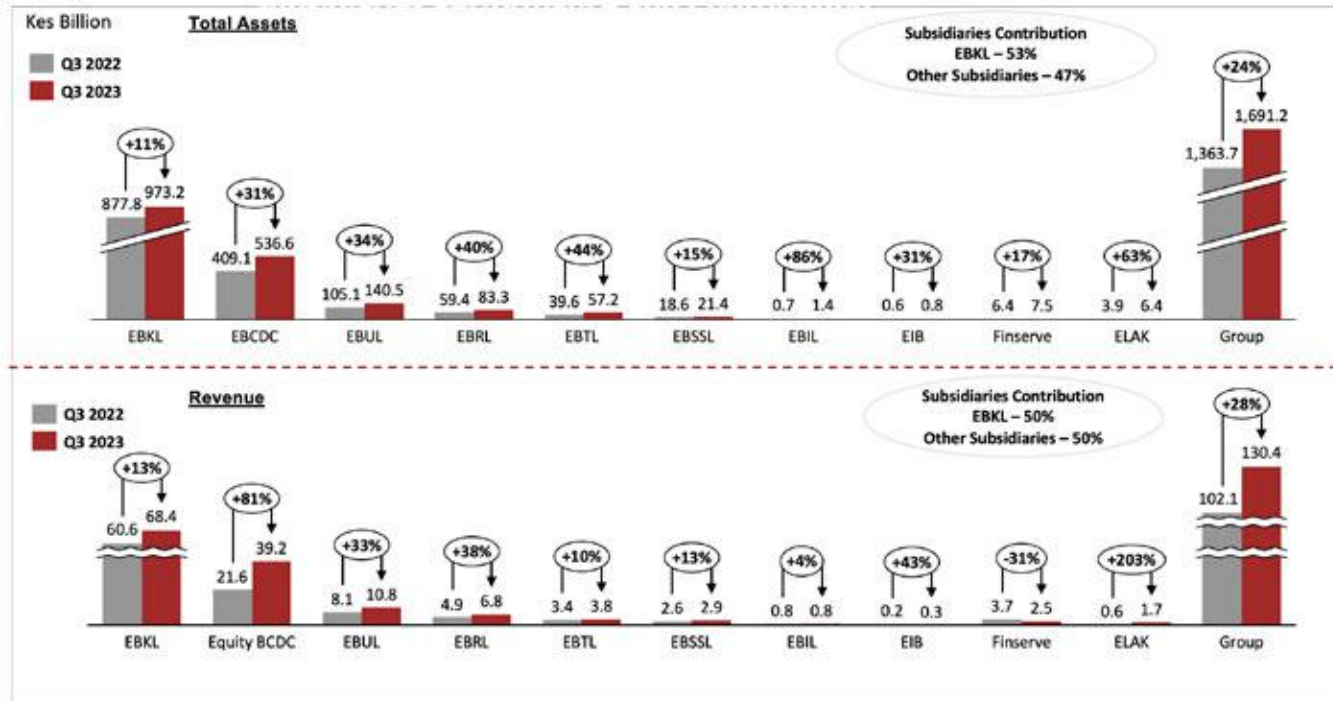
Focus Area 3: Geographical Expansion and Business Diversification

Subsidiaries Performance and Contribution



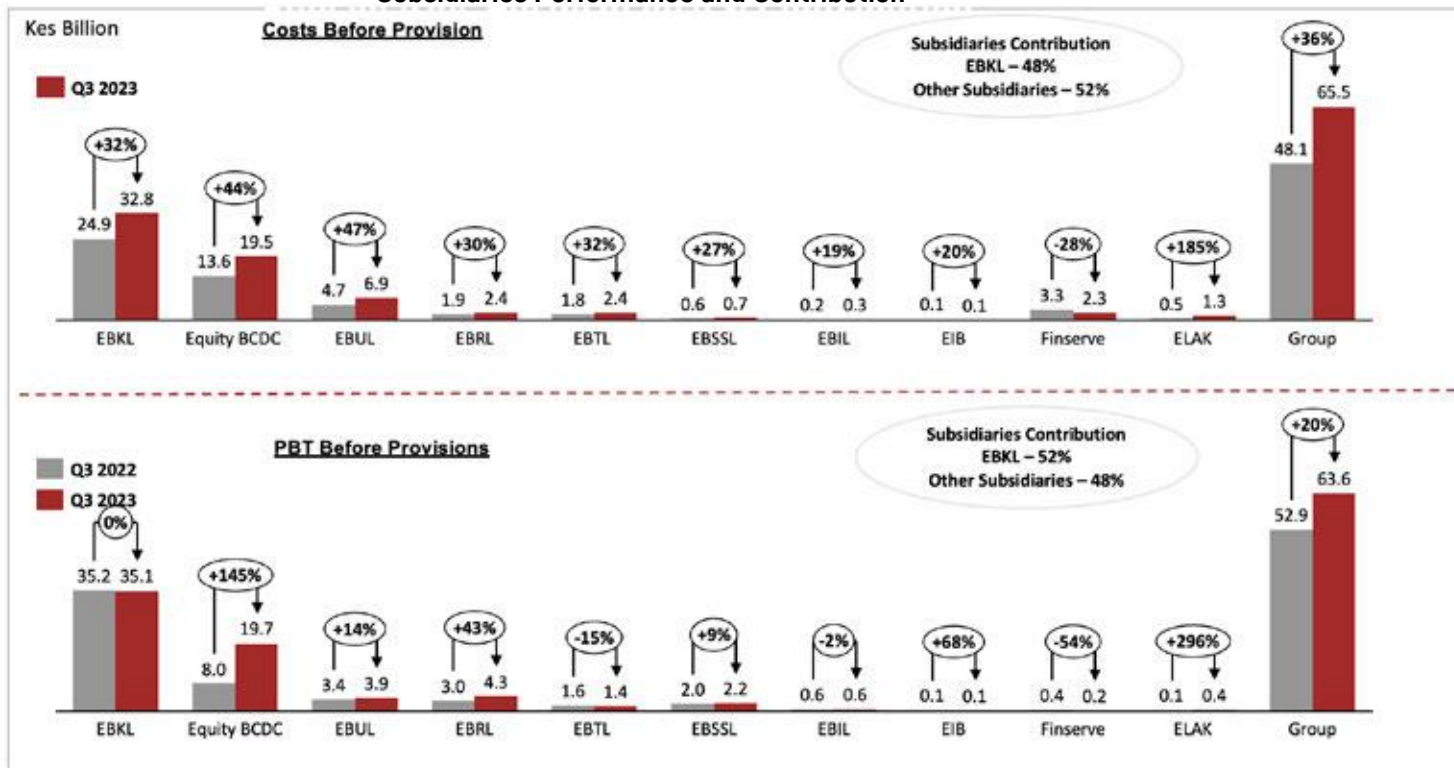
Focus Area 3: Geographical Expansion and Business Diversification

Subsidiaries Performance and Contribution



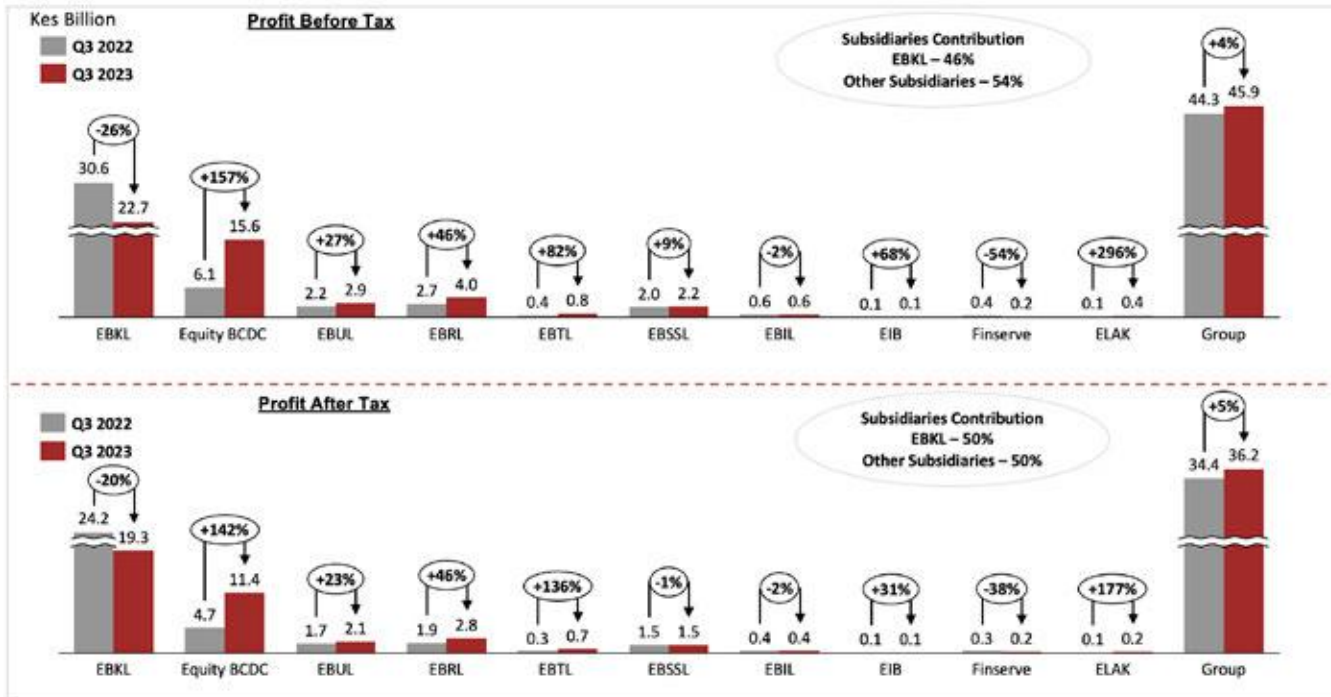
Focus Area 3: Geographical Expansion and Business Diversification (Cont..)

Subsidiaries Performance and Contribution



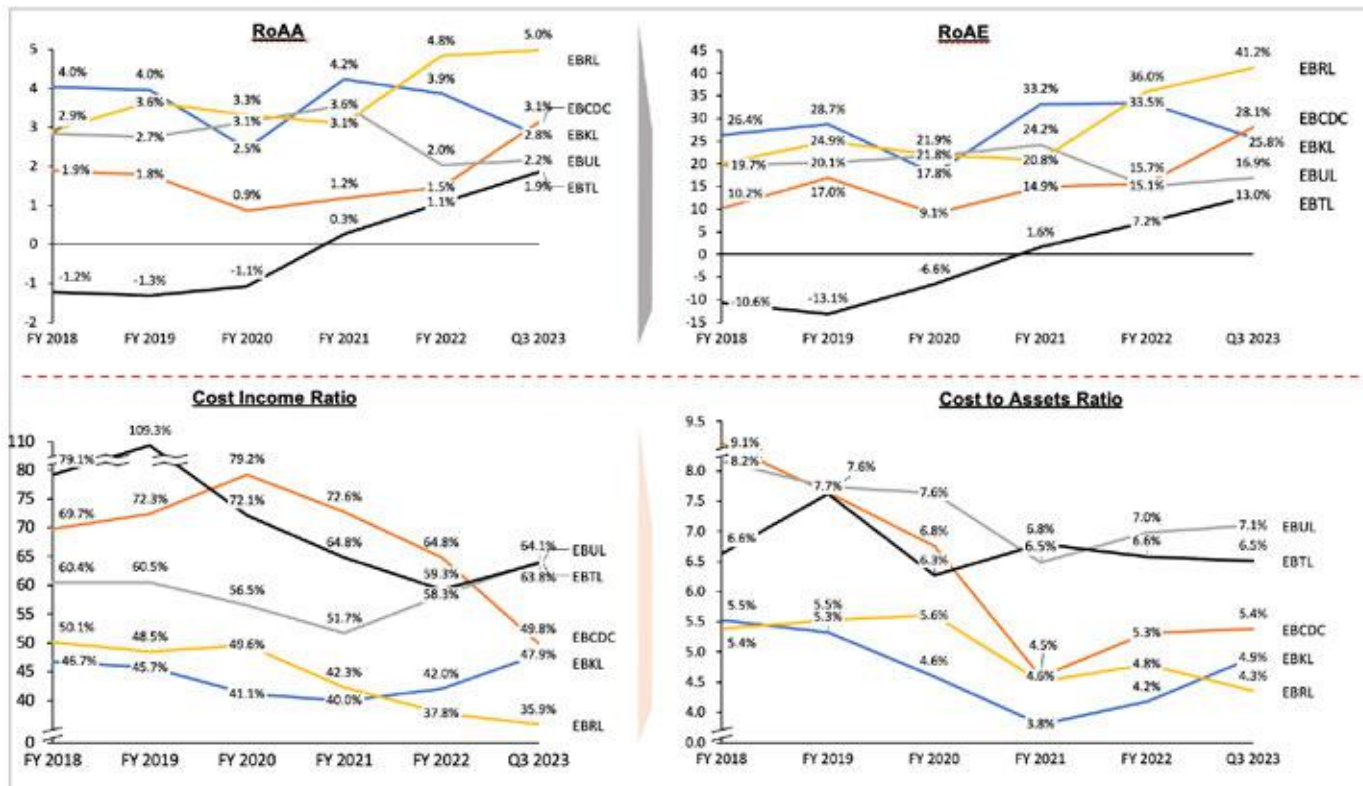
Focus Area 3: Geographical Expansion and Business Diversification (Cont..)

Subsidiaries Performance & Contribution

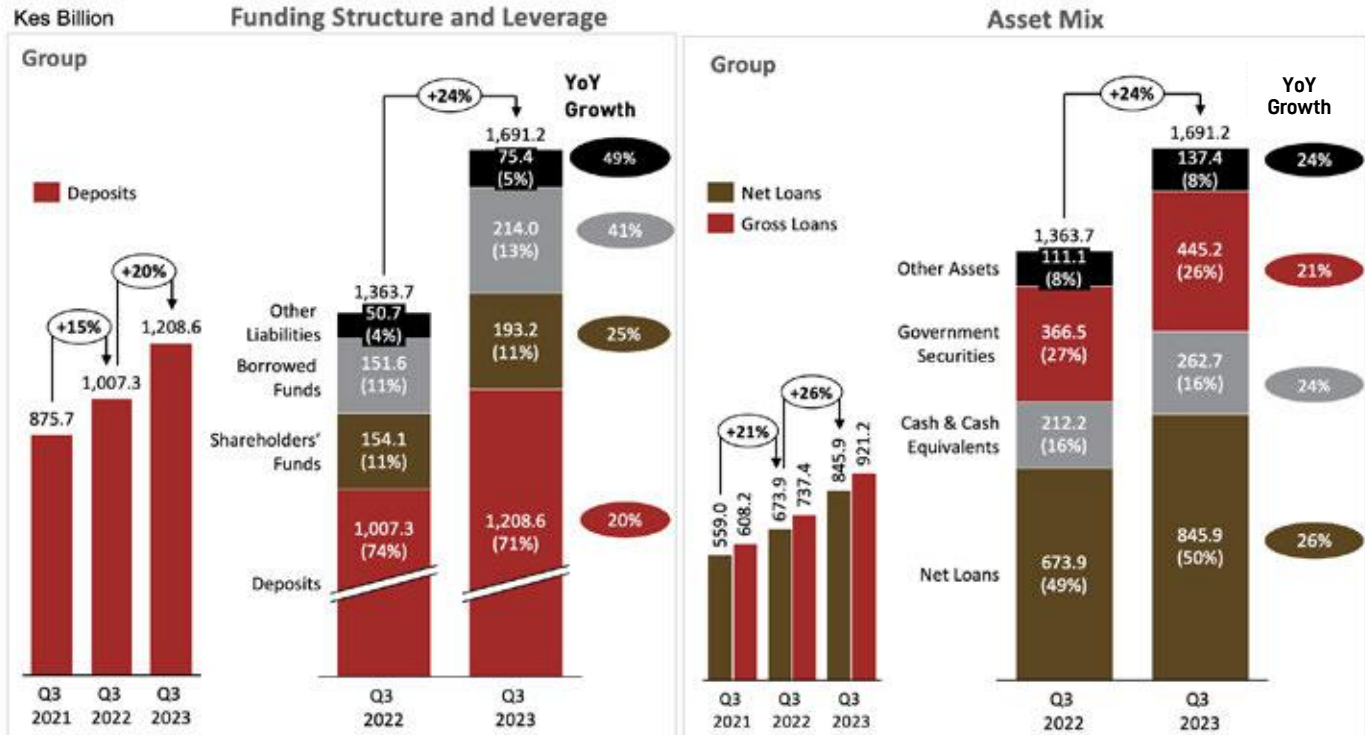


Focus Area 3: Geographical Expansion and Business Diversification

Performance Trend - Banking Subsidiaries: Value Creation and Growth

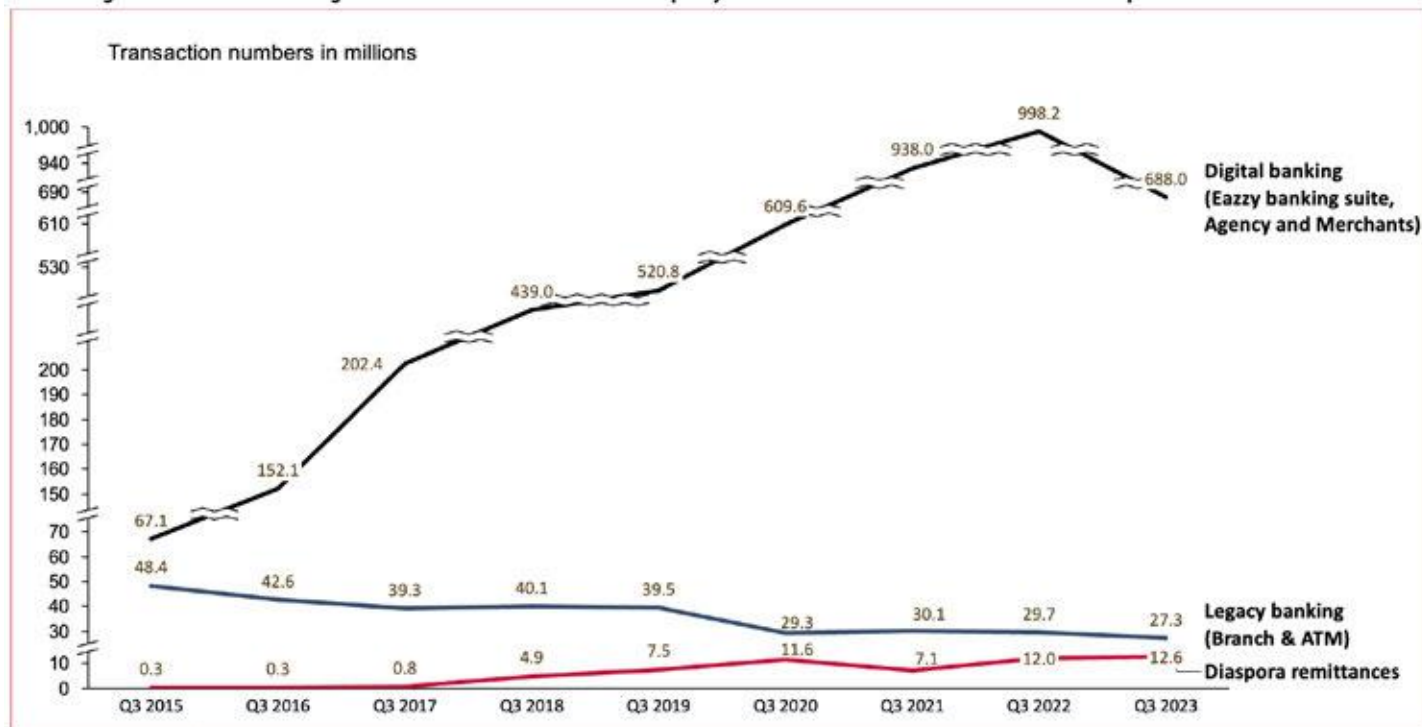


Focus Area 4: Balance Sheet Efficiency, Optimization and Agility



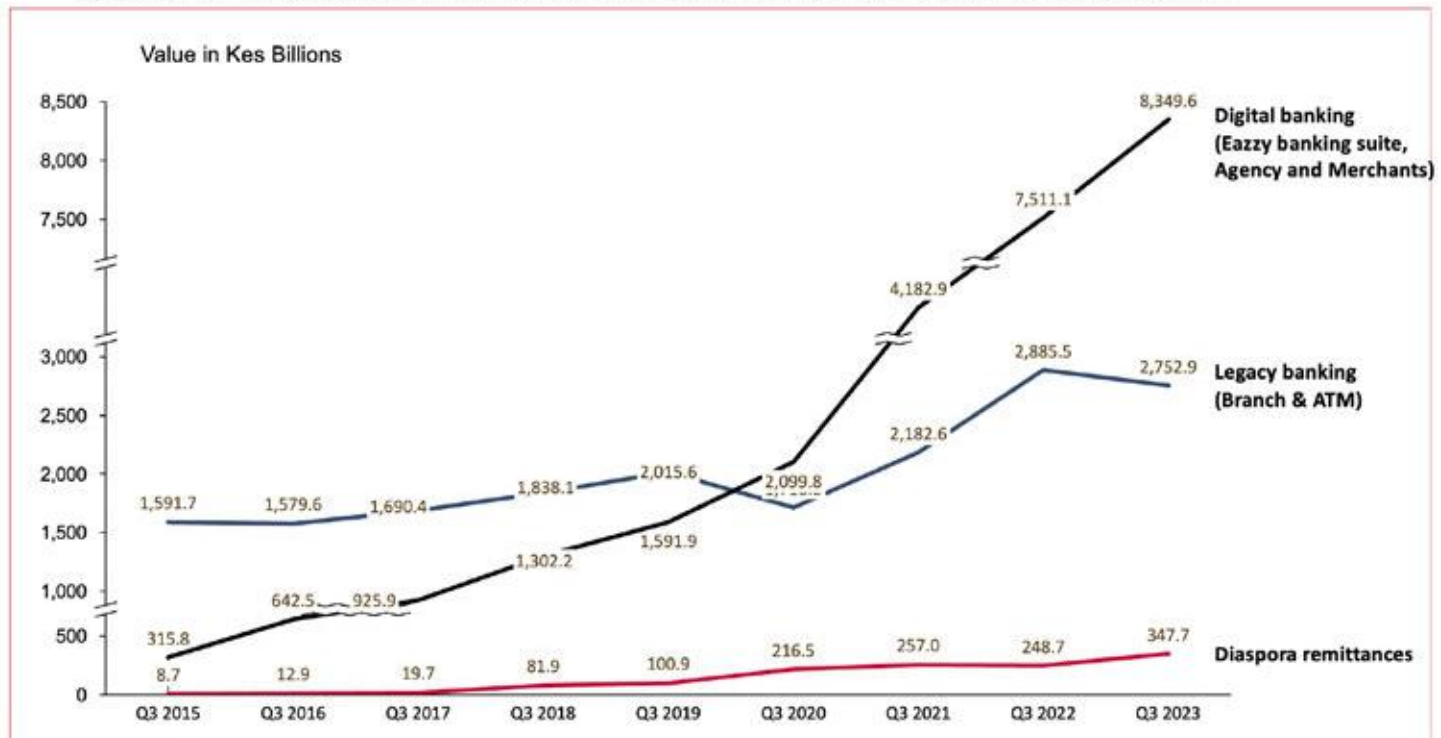
Focus Area 5: Business Transformation - Innovation and Digitization

Digital business: Enabling transition from fixed cost to 3rd party variable cost channels and self-service platforms



Focus Area 5: Business Transformation - Innovation and Digitization

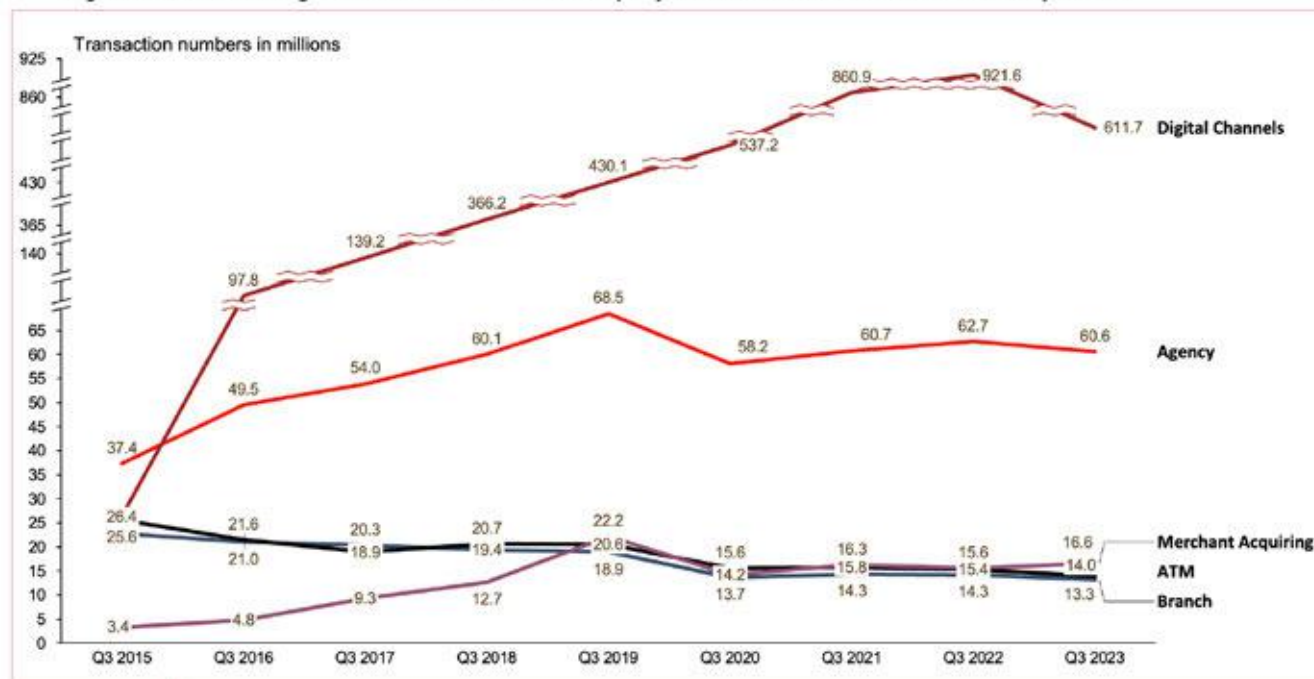
Digital business: Enabling transition from fixed cost to 3rd party variable cost channels and self-service platforms



Focus Area 5: Business Transformation - Fintech Capabilities: Self-Service Channels

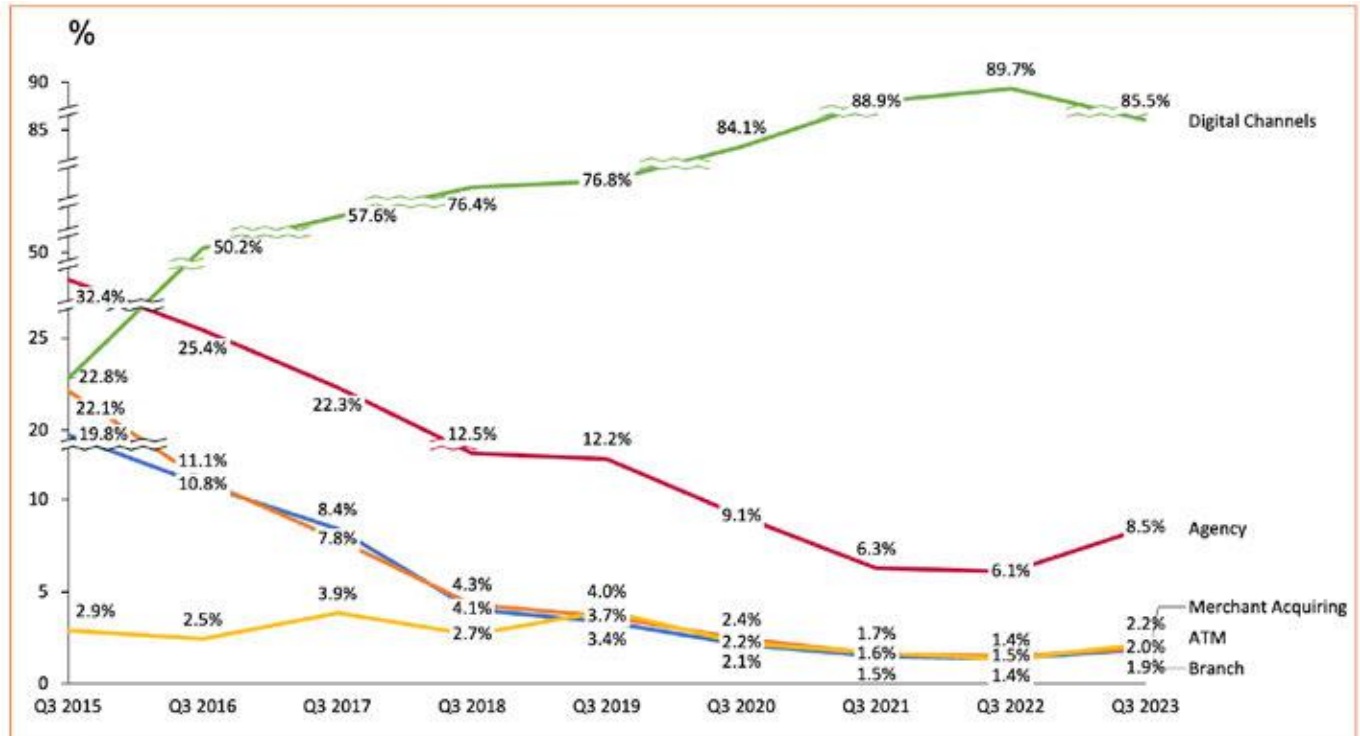
Migrating from fixed and variable cost channels to self-service channels

Digital business: Enabling transition from fixed cost to 3rd party variable cost channels and self-service platforms



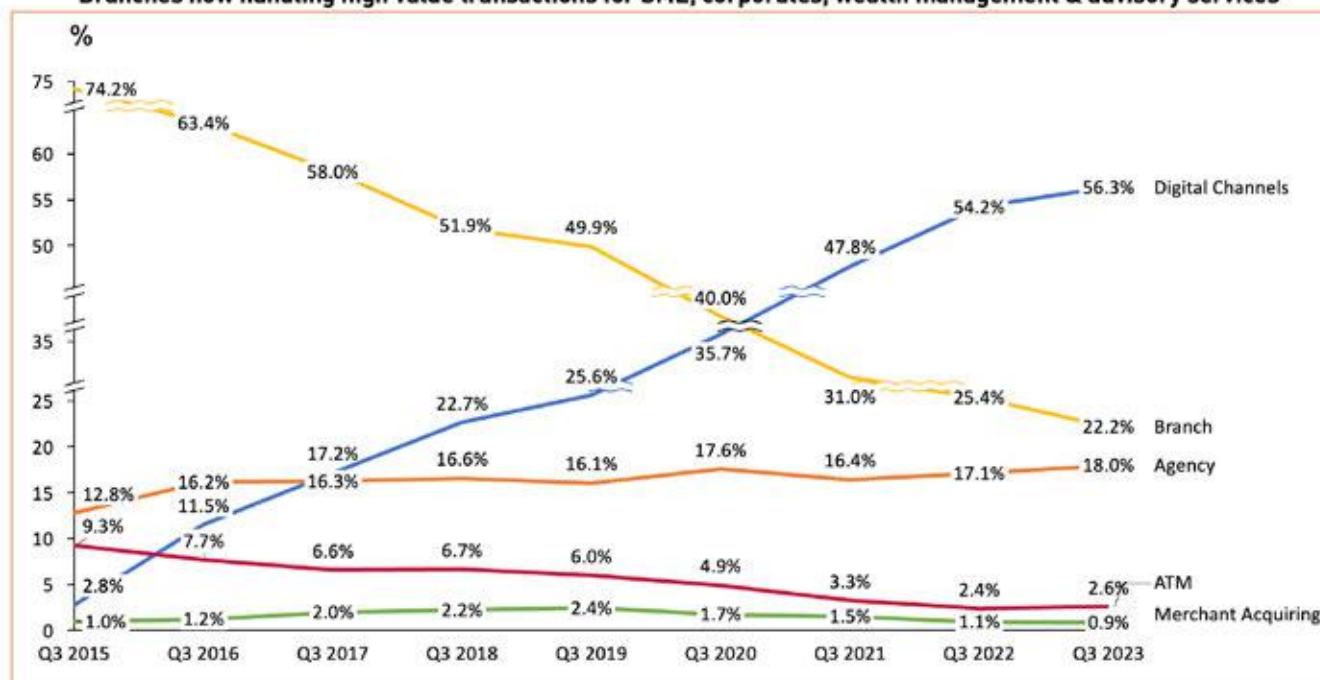
Focus Area 5: Business Transformation – Fintech Capabilities: Self Service Channels

98% of our Transactions outside the branch



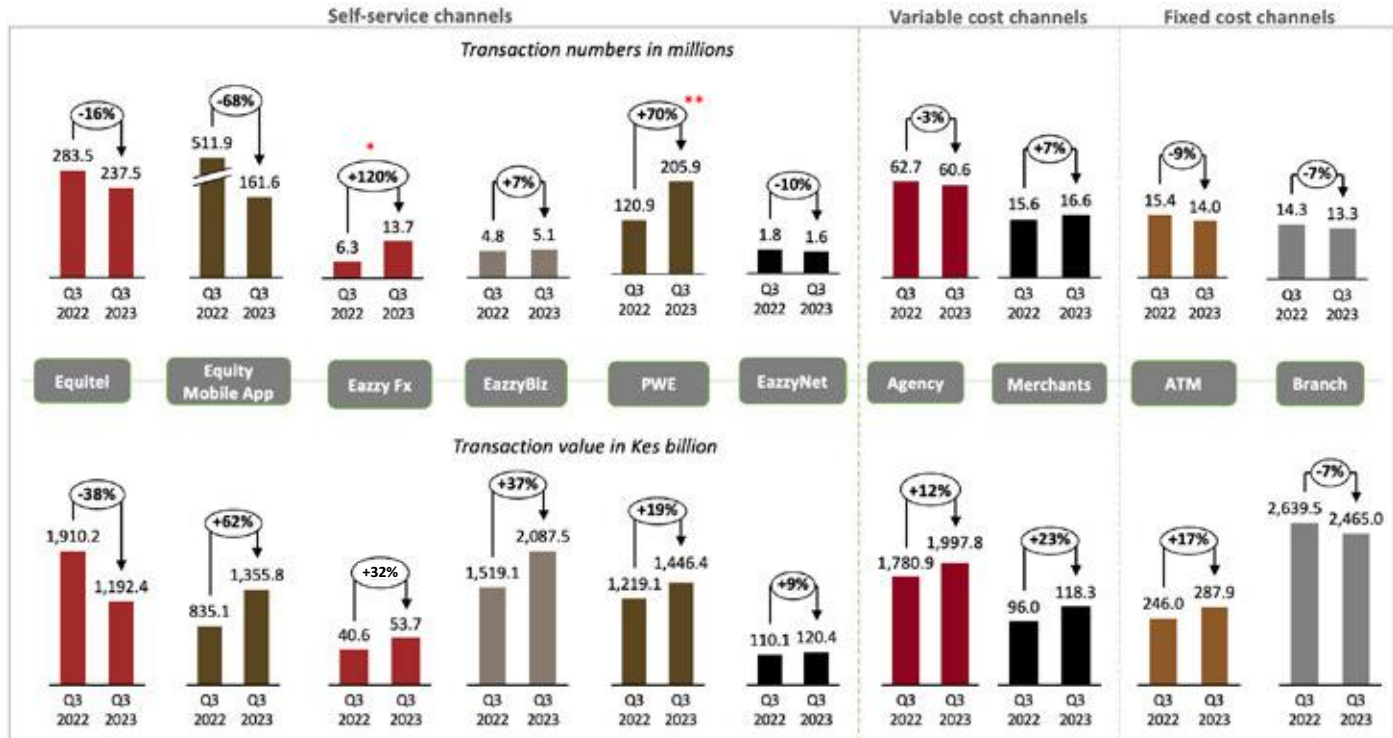
Focus Area 5: Business Transformation - Fintech Capabilities: Self-Service Channels

Branches now handling high value transactions for SME, corporates, wealth management & advisory services



Focus Area 5: Business Transformation - Innovation and Digitization

Migrating from fixed and variable cost channels to self-service channels



* Eazzy FX transaction numbers in thousands

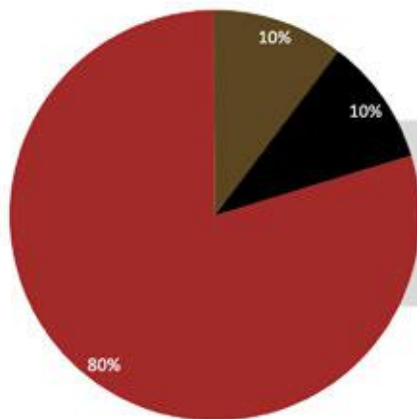
**PWE includes billers

Focus Area 5: Business Transformation- Fintech Capabilities and Lifestyle Support

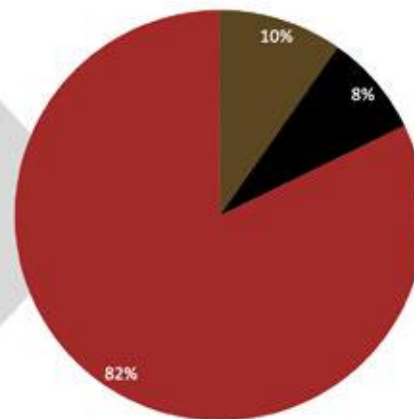
Payments Processing Capabilities – Promoting a Cashless Economy

82% of our customers using cashless payment capabilities rather than transacting in cash

Q3 2022

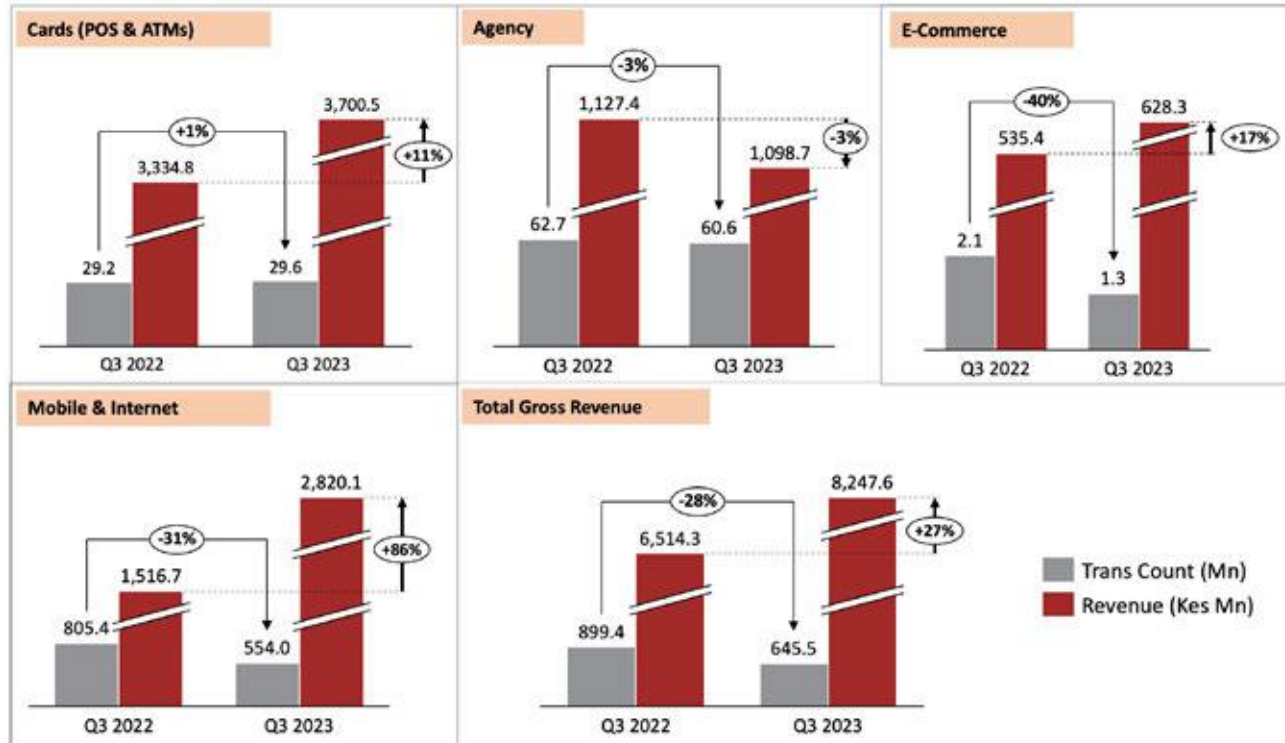


Q3 2023



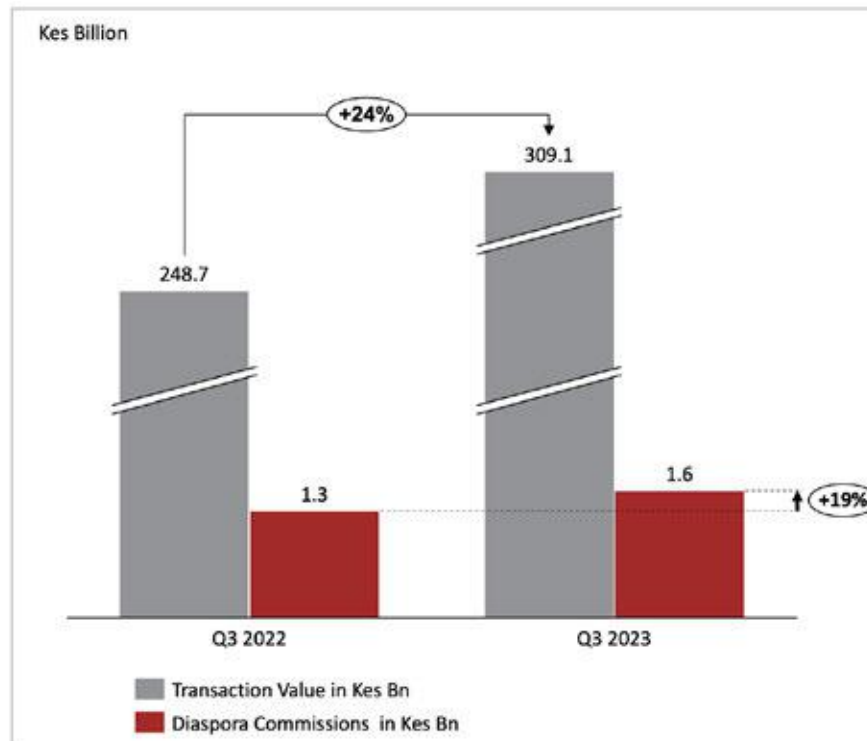
Card & Cash transactions Over the Counter transactions Cashless transactions

Focus Area 5: Business Transformation - Fintech Capabilities: Lifestyle Support Payments Processing Capabilities



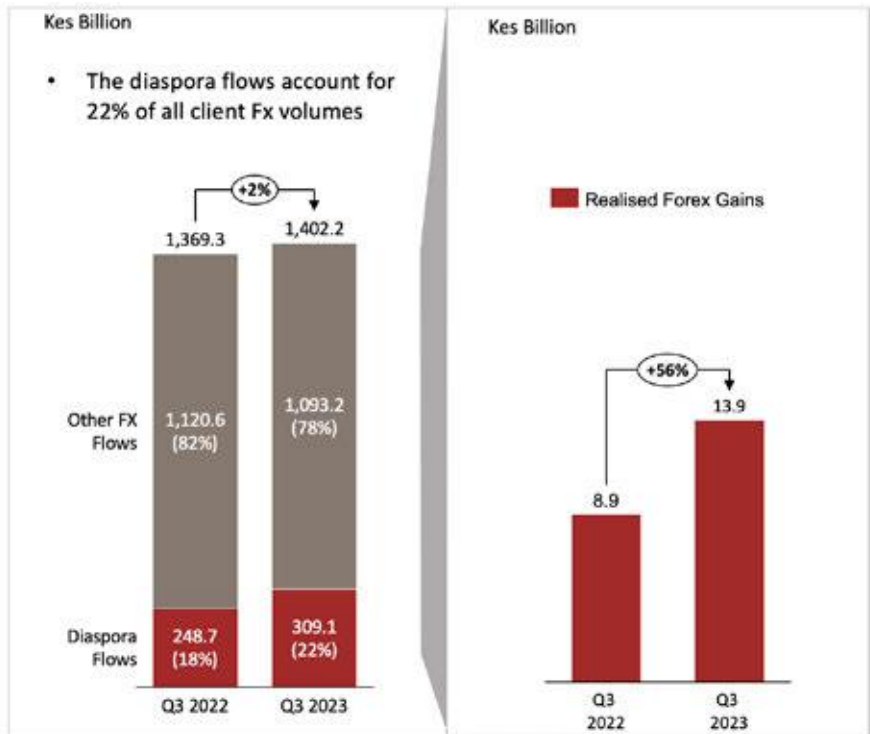
Focus Area 5: Business Transformation - Fintech Capabilities: Compressing Time and Geography

Remittances Processing

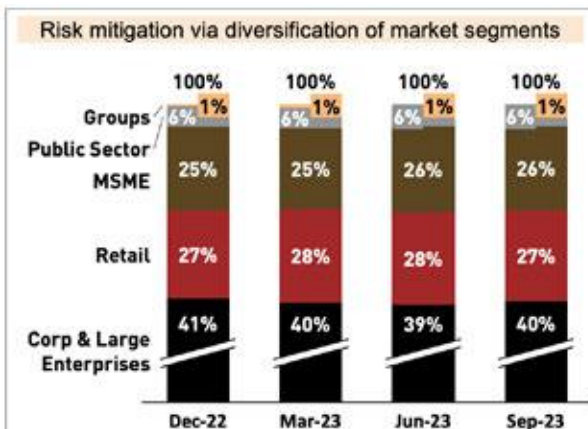


Focus Area 5: Business Transformation - Fintech Capabilities: Global Presence

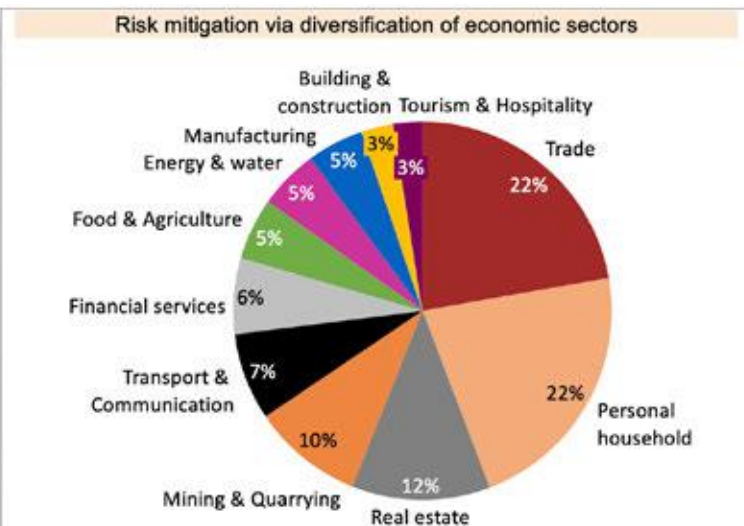
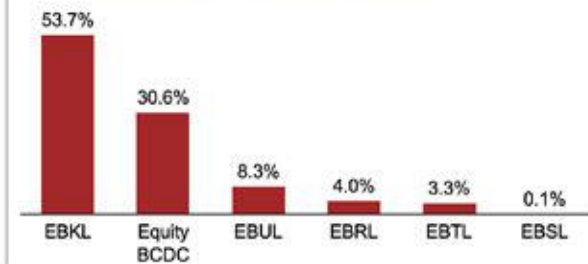
FX Trading – Enabling Global Trade



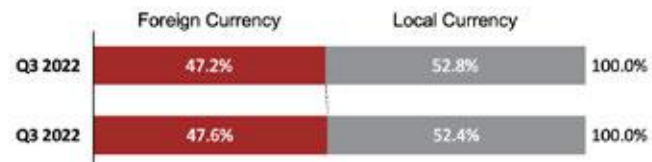
Focus Area 6: Asset Quality, Distribution and Risk Mitigation



Geographical sovereign risk diversification

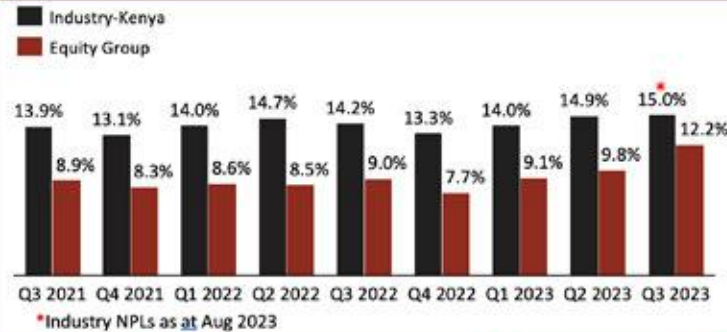


Diversification by currency

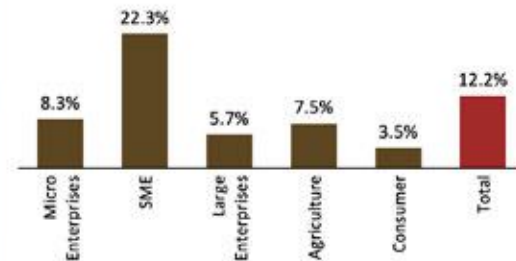


Focus Area 6: Asset Quality, Distribution and Risk Mitigation

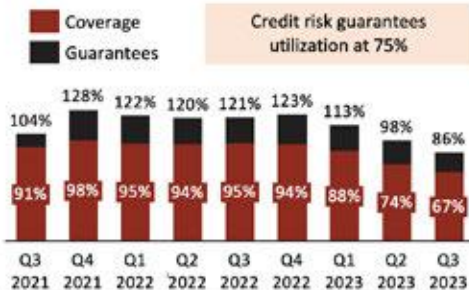
NPL's –Industry vs EGH Plc



NPL per sector as at Q3 2023

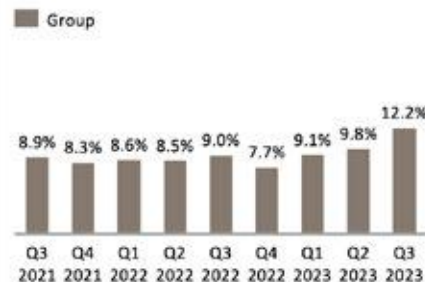


*NPL Coverage

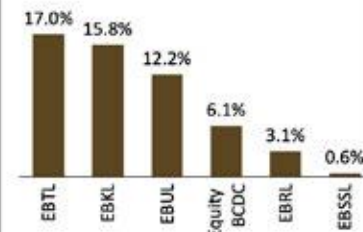


*NPL Coverage inclusive of credit risk guarantees

NPL Ratios

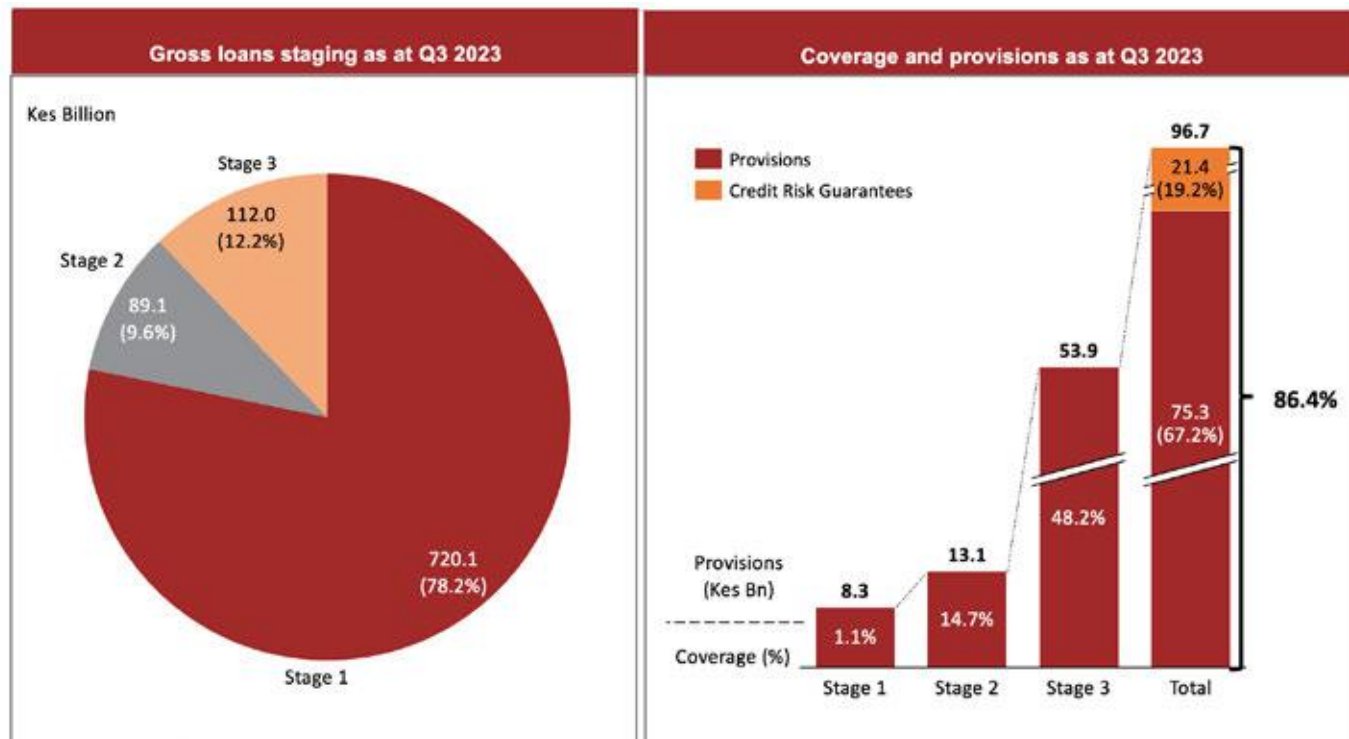


NPL per Subsidiary as at Q3 2023



Focus Area 6: Asset Quality, Distribution and Risk Mitigation

Prudent approach to credit risk management



Focus Area 7: Efficiency and Cost Optimization

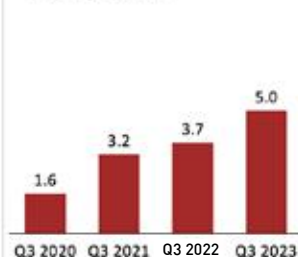


Focus Area 7: Efficiency and Cost Optimization

Kes Billion

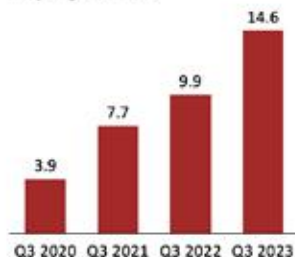
Staff Cost Trend

EquityBCDC



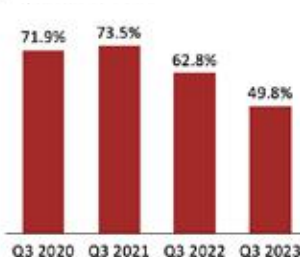
Other Expenses Trend

EquityBCDC



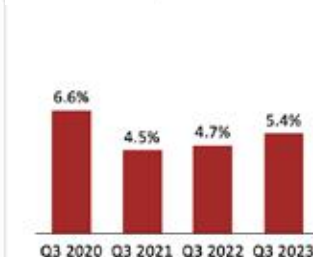
Cost to Income Ratio (Without Loan Loss Provision)

EquityBCDC



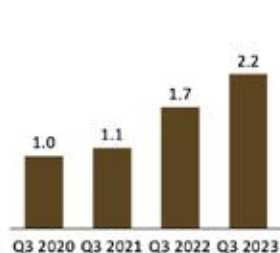
Cost to Assets Ratio (Without Loan Loss Provision)

EquityBCDC



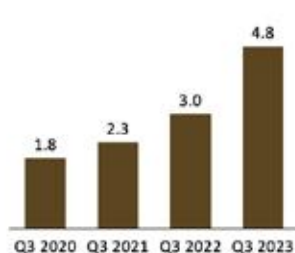
Staff Cost Trend

EBUL



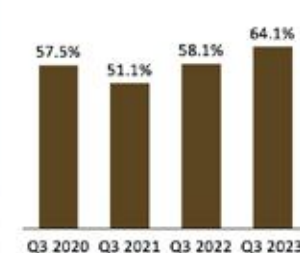
Other Expenses Trend

EBUL



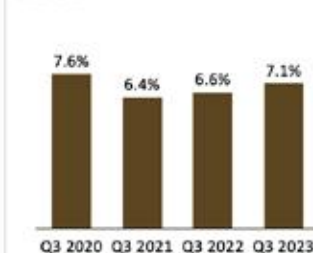
Cost to Income Ratio (Without Loan Loss Provision)

EBUL



Cost to Assets Ratio (Without Loan Loss Provision)

EBUL

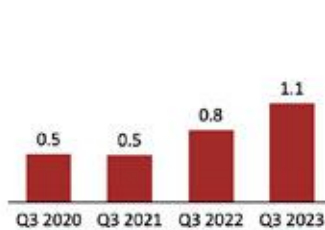


Focus Area 7: Efficiency and Cost Optimization

Kes Billion

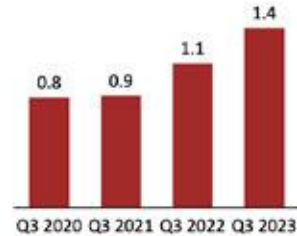
Staff Cost Trend

EBRL



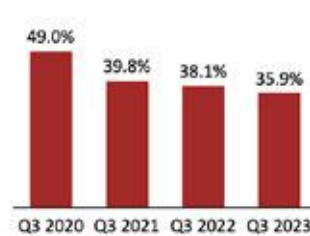
Other Expenses Trend

EBRL



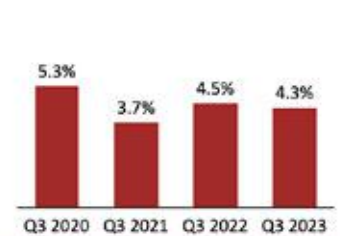
Cost to Income Ratio (Without Loan Loss Provision)

EBRL



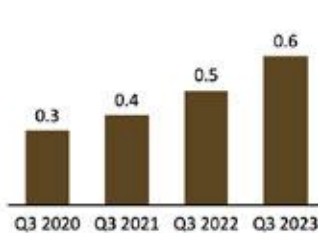
Cost to Assets Ratio (Without Loan Loss Provision)

EBRL



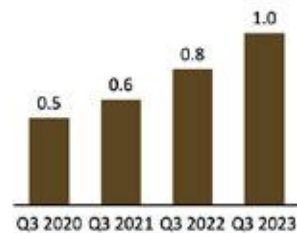
Staff Cost Trend

EBTL



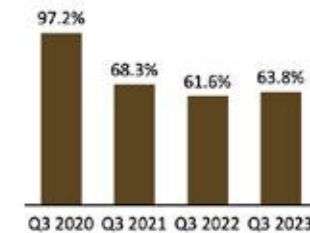
Other Expenses Trend

EBTL



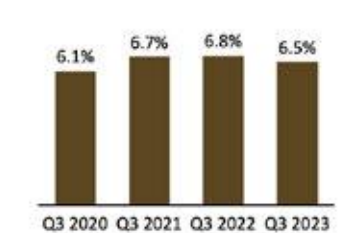
Cost to Income Ratio (Without Loan Loss Provision)

EBTL



Cost to Assets Ratio (Without Loan Loss Provision)

EBTL

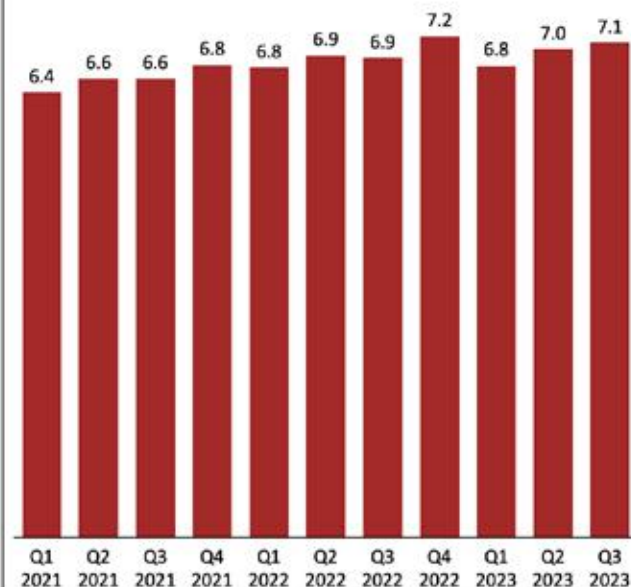


Focus Area 7: Efficiency and Cost Optimization

Group

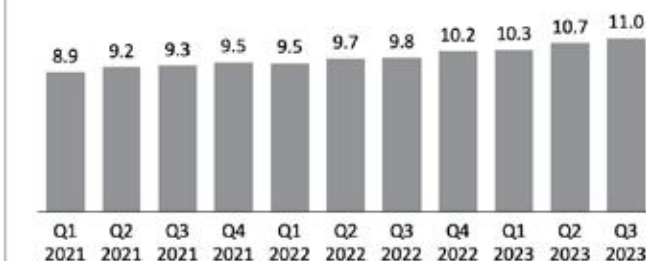
Net Interest Margin

%



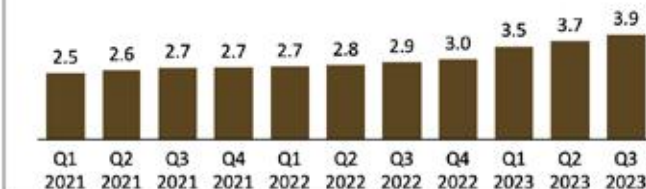
Yield on Interest Earning Assets

%

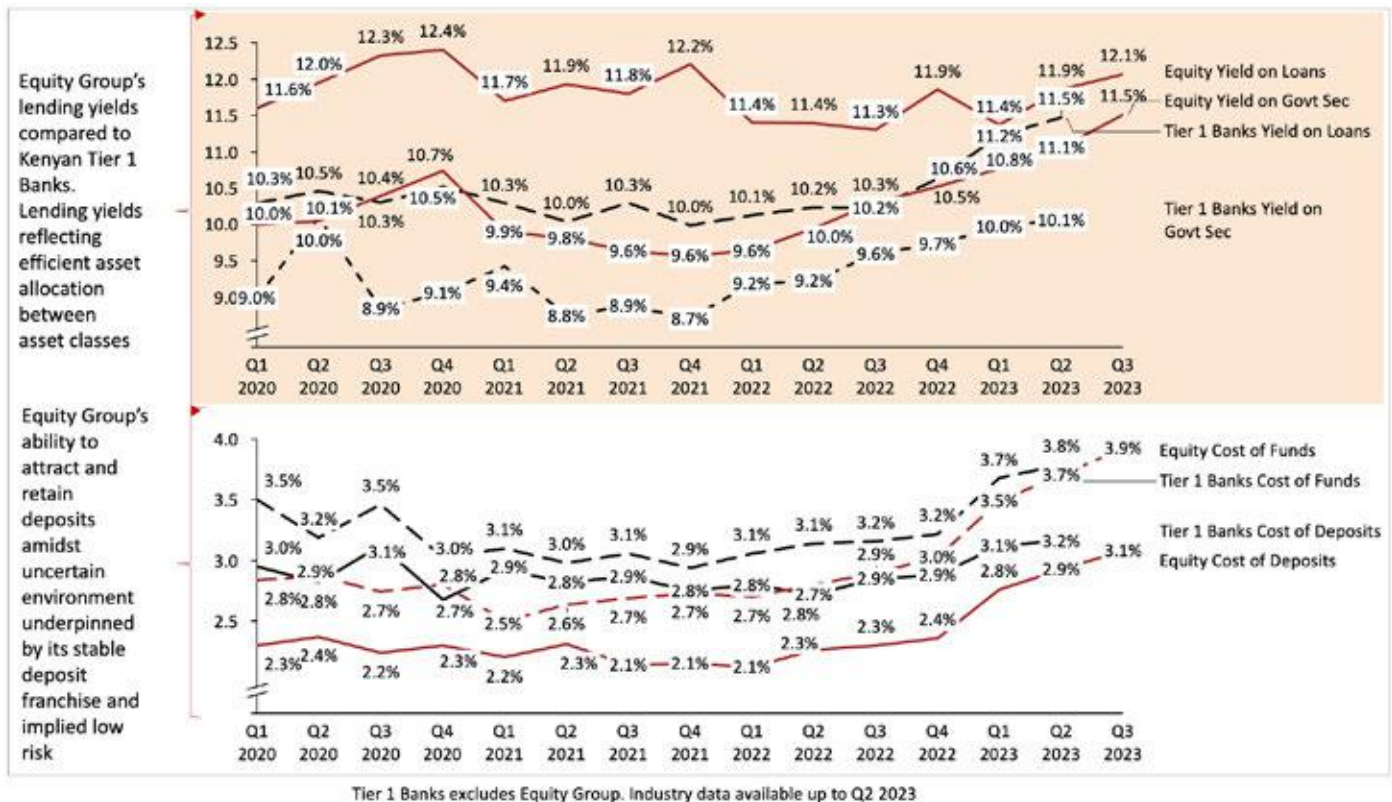


Cost of Funds

%



Focus Area 7: Efficient Financial Intermediation



Focus Area 8: Emerging Business Lines

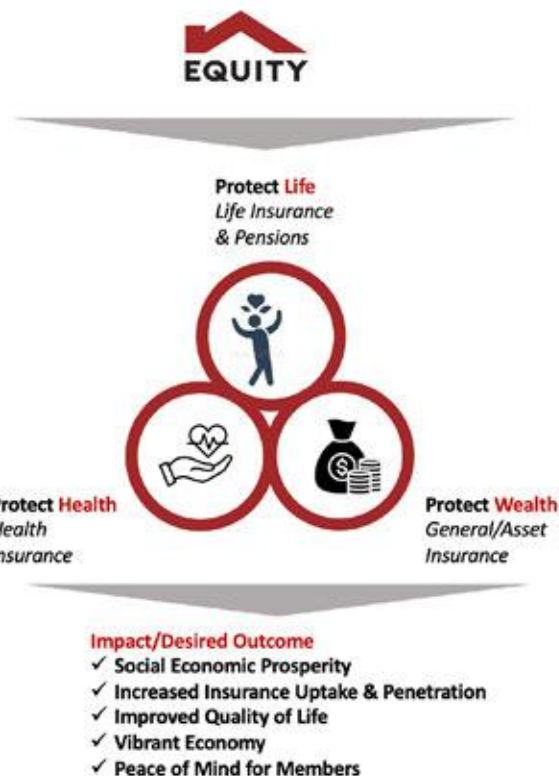
Equity Insurance Group : The Opportunity

Opportunity in Africa and the Equity Strategic Intent

Low Insurance Penetration in Africa



- Low average insurance penetration rates (Africa 2.78%, East Africa 1.34%)
- +150 insurance companies in the market with limited success
- Africa is <3% of global insured losses compared with 18% population representation. GWP \$70Bn in Africa in 2021 (SA, 70% and largely General)
- Consumers in Africa are 1 event away from financial distress
- Insurance has a social and economic role to play in society.
- African communities largely self-insure through traditional means and direct cash payments
- Opportunity lies in resolve challenges facing the industry in Africa such as:
 - Access
 - Relevance or Suitability
 - Affordability
 - Reliability



Focus Area 8: Emerging Business Lines

Equity Insurance | Life (Long Term) Insurance

Market Positioning | Strong Start

Kenya's Insurance Industry

Kenyan Industry Premiums 2022

- Total industry premiums: Kes 302Bn
- Life: Kes 140Bn (46%)
- General: Kes 162Bn (54%)

Assets Under Management, 2022: Kes 514Bn

Fastest growing life assurance solutions

- Deposit Administration (and Pensions)
- Individual Life Assurance
- Group Credit Life

Majority of Insurers profits driven by investment income/investments as opposed to underwriting profits

Life Insurance Industry Q4,22|Q1,23



Equity's Market Positioning

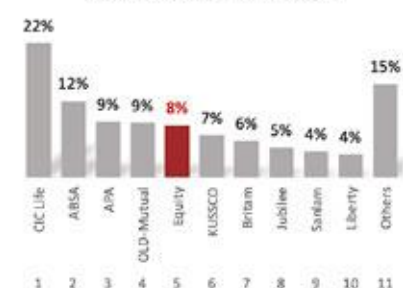
Equity Group's 1st Insurance subsidiary was operationalized in March 2022 to undertake life insurance business - Equity Life Assurance (Kenya) [ELAK]. ELAK's market position, 12 months in operations as at Q1 2023,

- **#12** in GWP (3% of total industry GWP)
- **#5** in Group Life & Credit with 12.8% market share
- **#4** in profitability

Life Industry Market Share Life | Q1,23



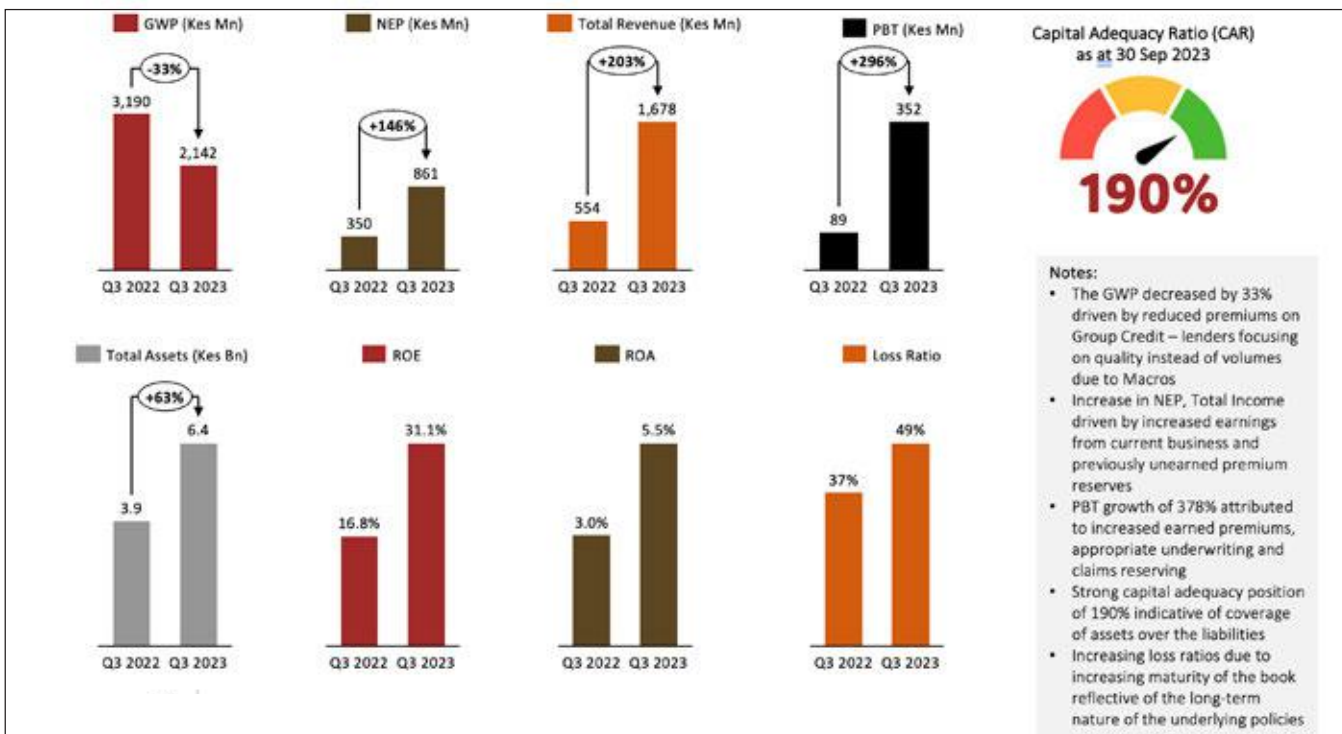
Group Life & Credit - Q1 2023



Focus Area 8: Emerging Business Lines

Equity Insurance | Life (Long Term) Insurance

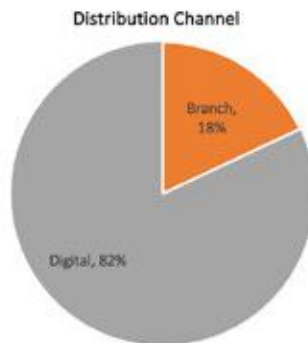
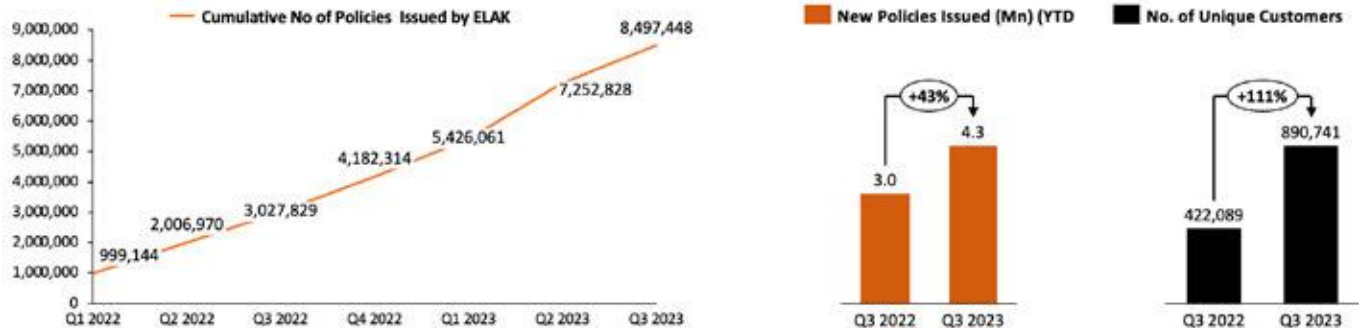
Performance & Growth | Demonstrated Distribution Capability



Focus Area 8: Emerging Business Lines

Equity Insurance | Life (Long Term) Insurance

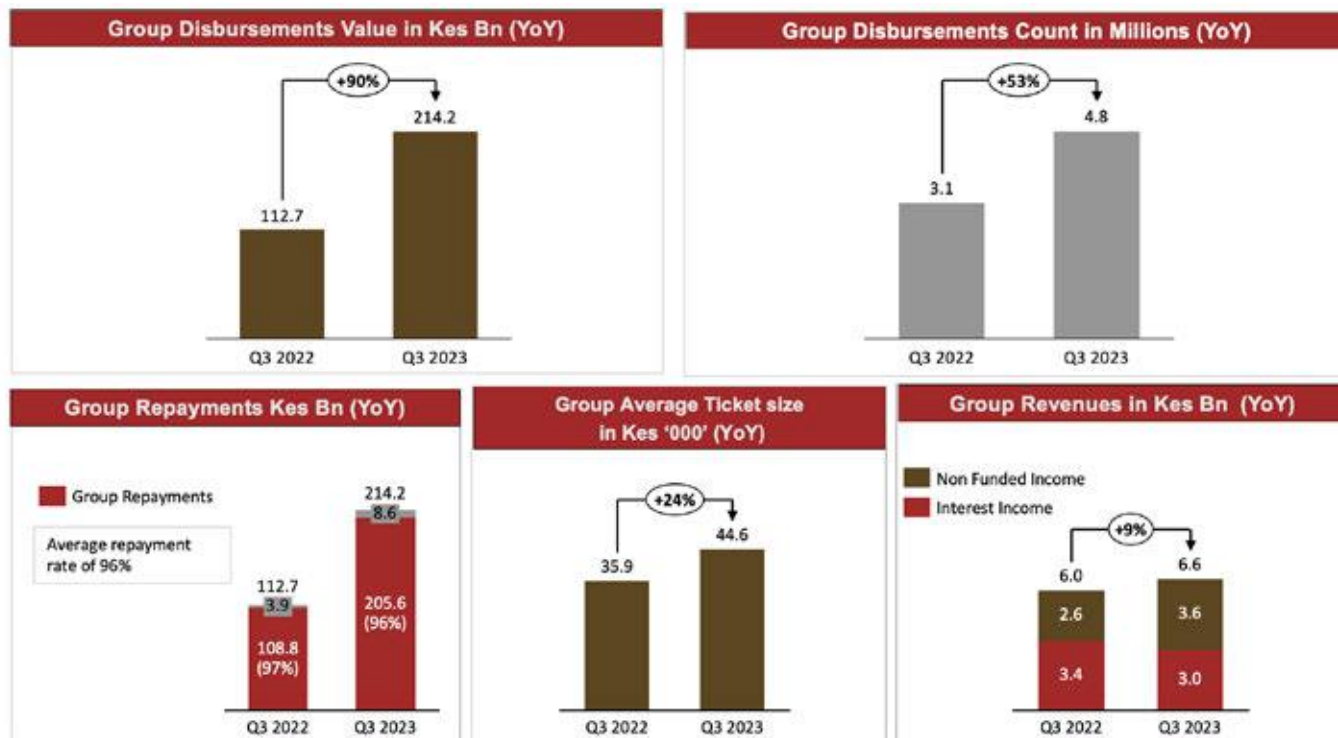
Performance & Growth | Demonstrated Distribution Capability



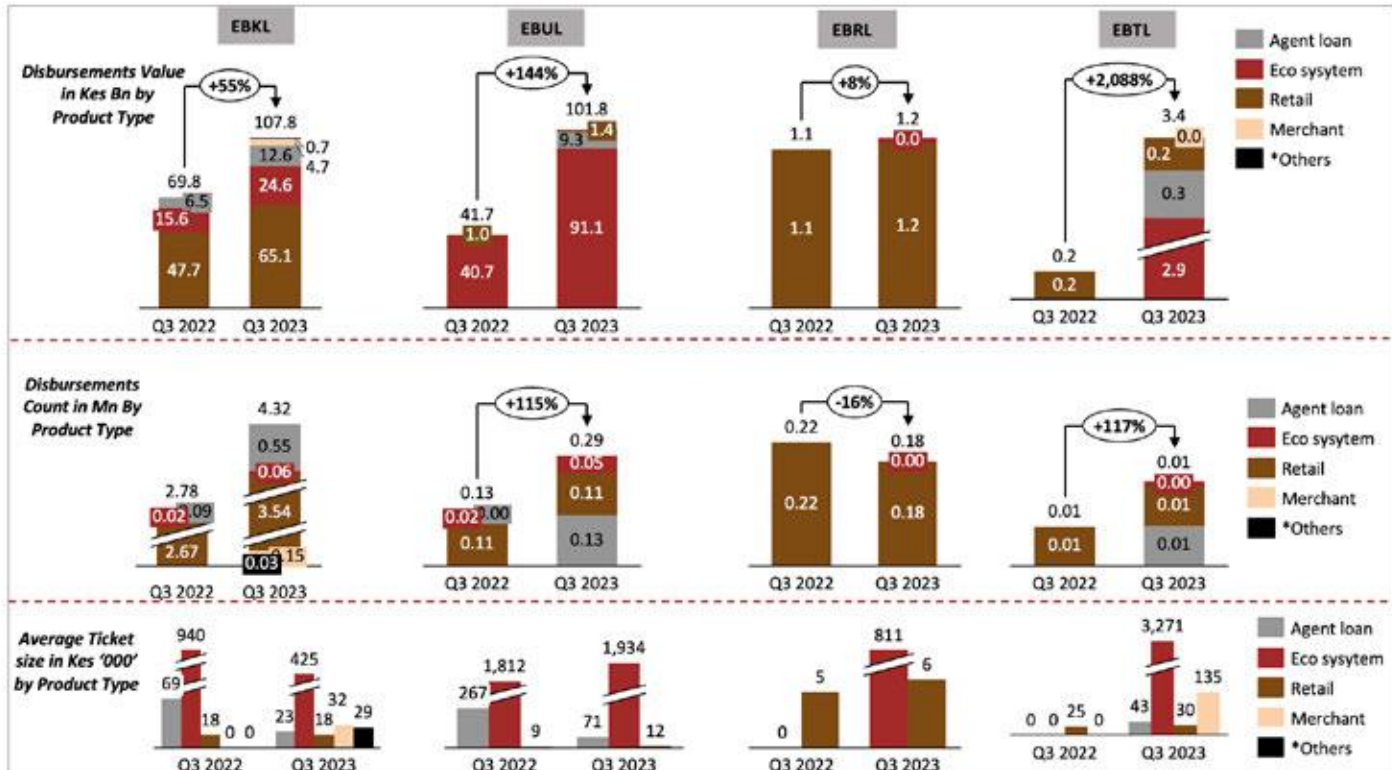
Notes:

- 8.4 million policies issued as at 30 Sept 2023
- Total Cumulative Policies issued to date 8.4 million with an average number of policies issued per month over the last month of 1,213,921
- 890,741 unique customers consuming various insurance products
- Customers consuming 1-8 insurance products in a given year
- Digital Native Insurer with +80% of policies issued digitally
- Branch a critical part of the distribution strategy particularly for non-SME and Non-Consumer Segments

Focus Area 8: Emerging Business Lines Technology enabled lending MSME and Retail digital loan repayments at 98% and 96% respectively



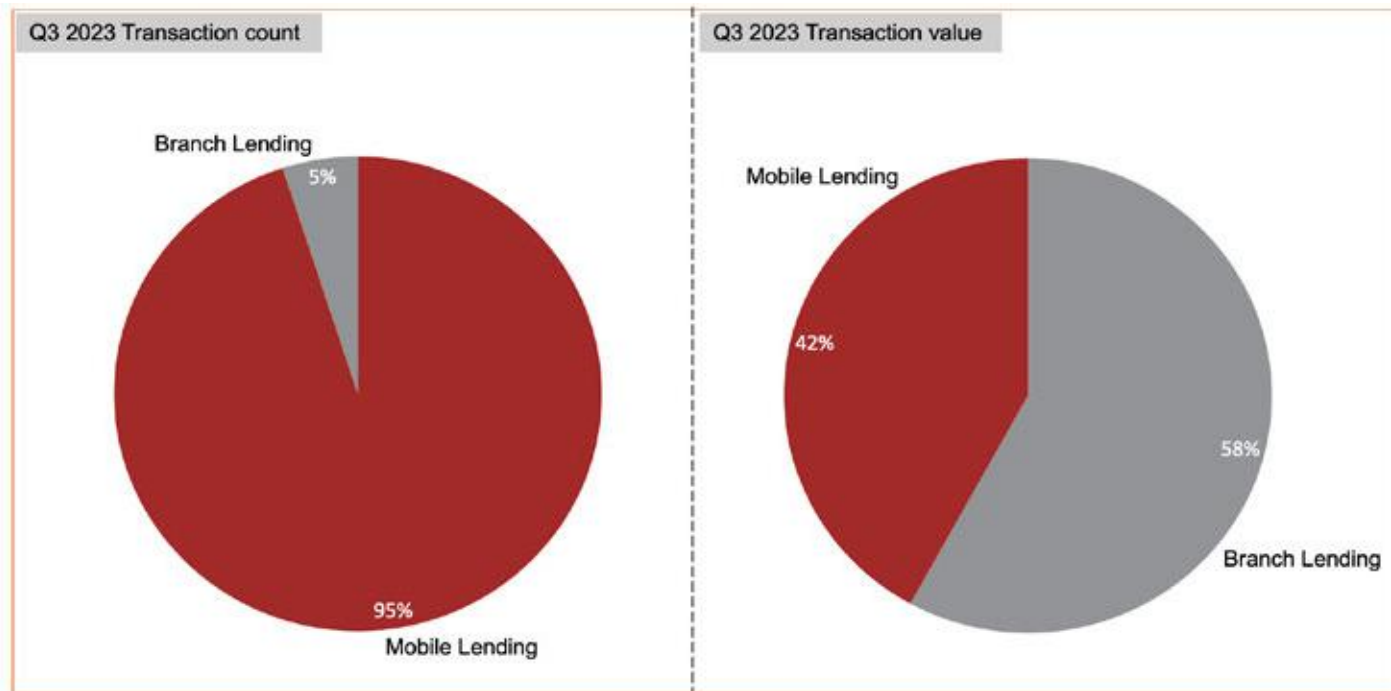
Focus Area 8: Emerging Business Lines Technology enabled lending (Cont..)



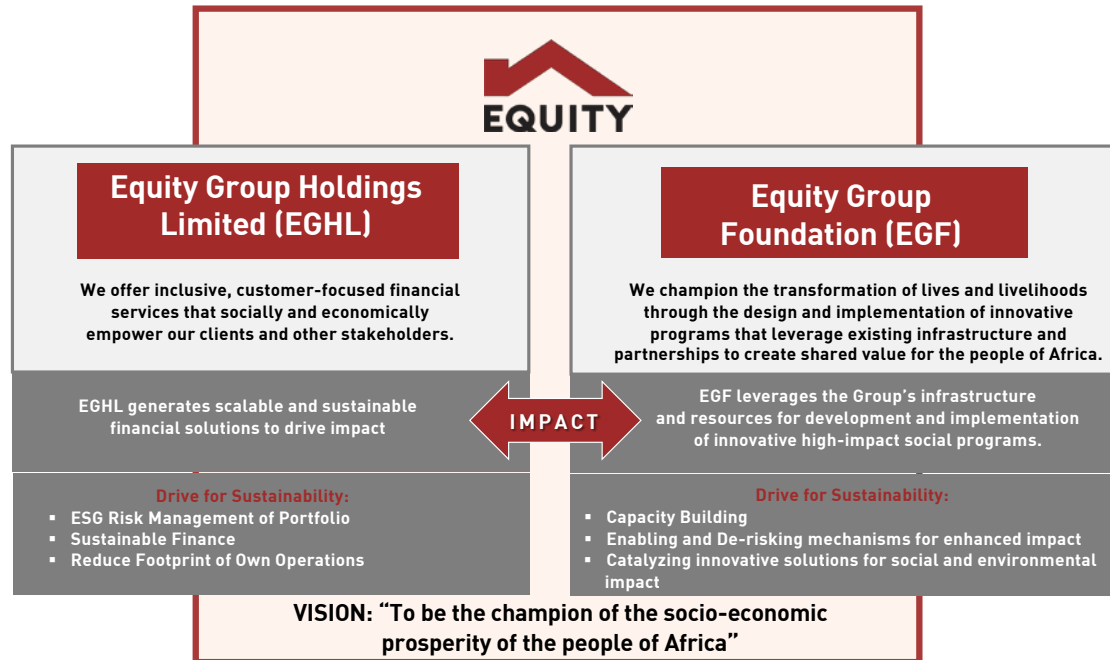
*Others include Digital overdraft, Telco and Tea loans

Focus Area 8: Emerging Business Lines – Technology Enabled Lending

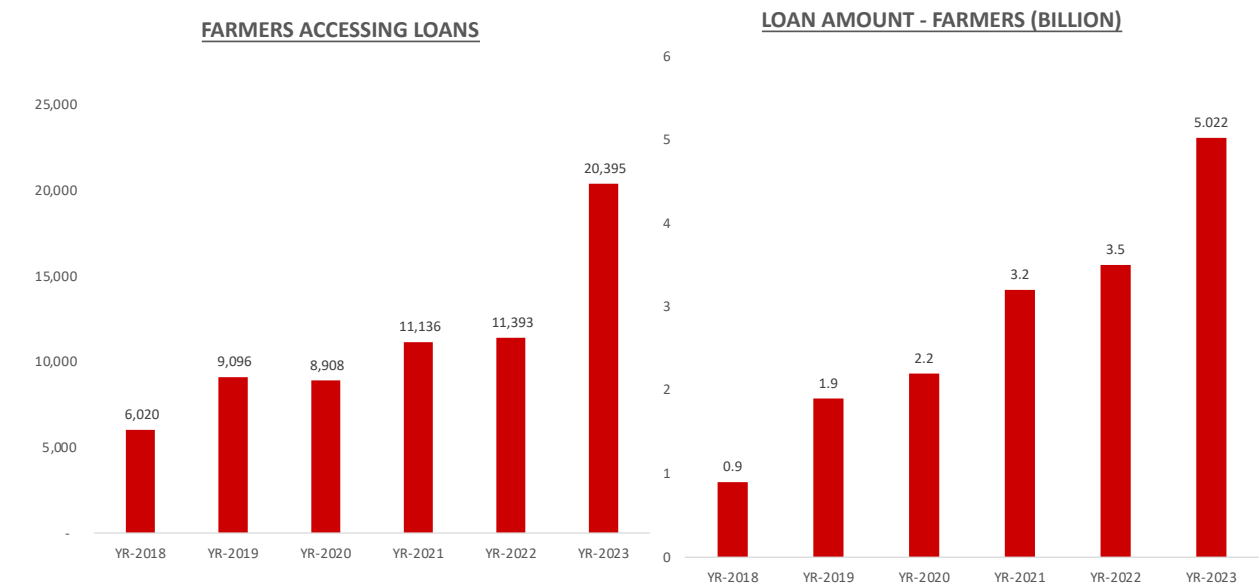
95% of our Loan Transactions via Mobile Channel, up from 87% in H1 2023



Access to Finance : Financial Access to SME & Rural populations in Agriculture using Technology (FASRAT) Program (NORAD) in Food and Agriculture



Access to Finance : Financial Access to SME & Rural populations in Agriculture using Technology (FASRAT) Program (NORAD) in Food and Agriculture

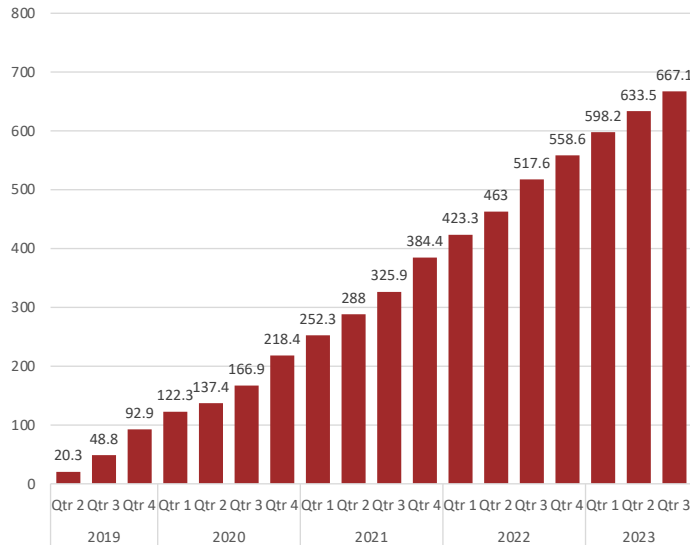


- Graduation with growth in average loan size per farmer from Kes. 49,975 in 2018 to current Kes. 136,722 per farmer

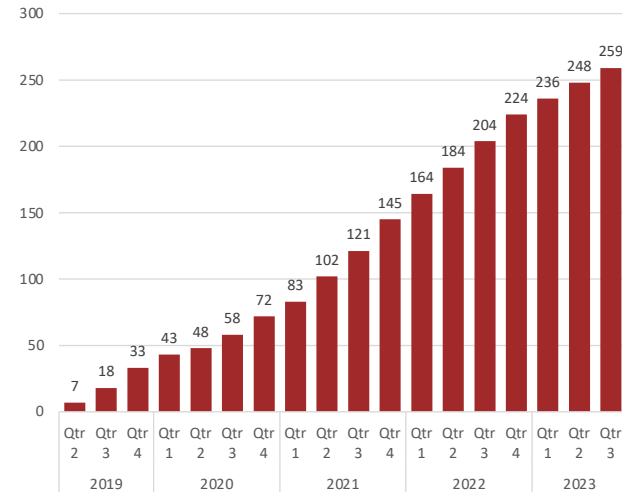
Access to Finance: Young Africa Works - Kenya (YAW-K)

Loan Value & Loan Count

Cumulative Loan Count [000]



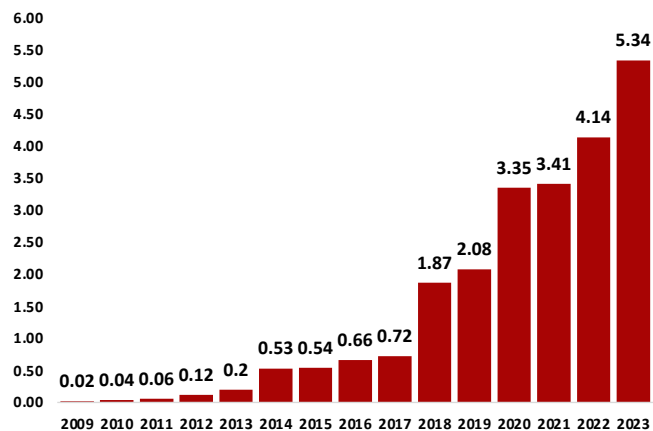
Cumulative Disbursements [Bn]



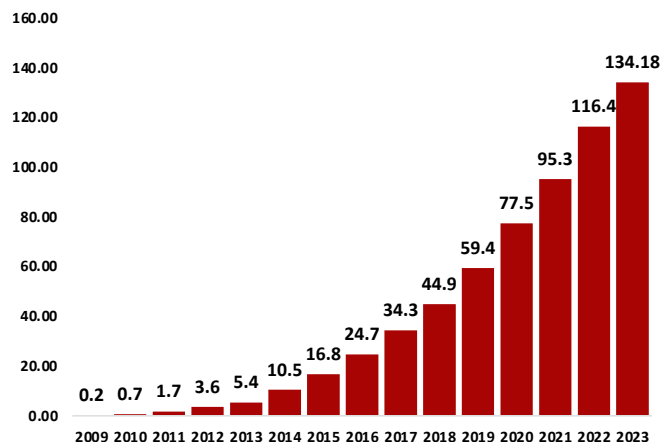
- Cumulatively, 667,058 loans valued at Kes. 259.32B with an average loan size of Kes. 378,340 disbursed.
- Loans have been disbursed to 272,361 MSMEs in various sectors.
- Every USD spent on training opens up 100 - fold value in credit accessed. (USD 24.9M in training to USD 2.59B in credit disbursed)

Inclusion: Social Protection Beneficiaries Reached with Disbursements

Cumulative Beneficiaries Reached with Social Protection [Millions]



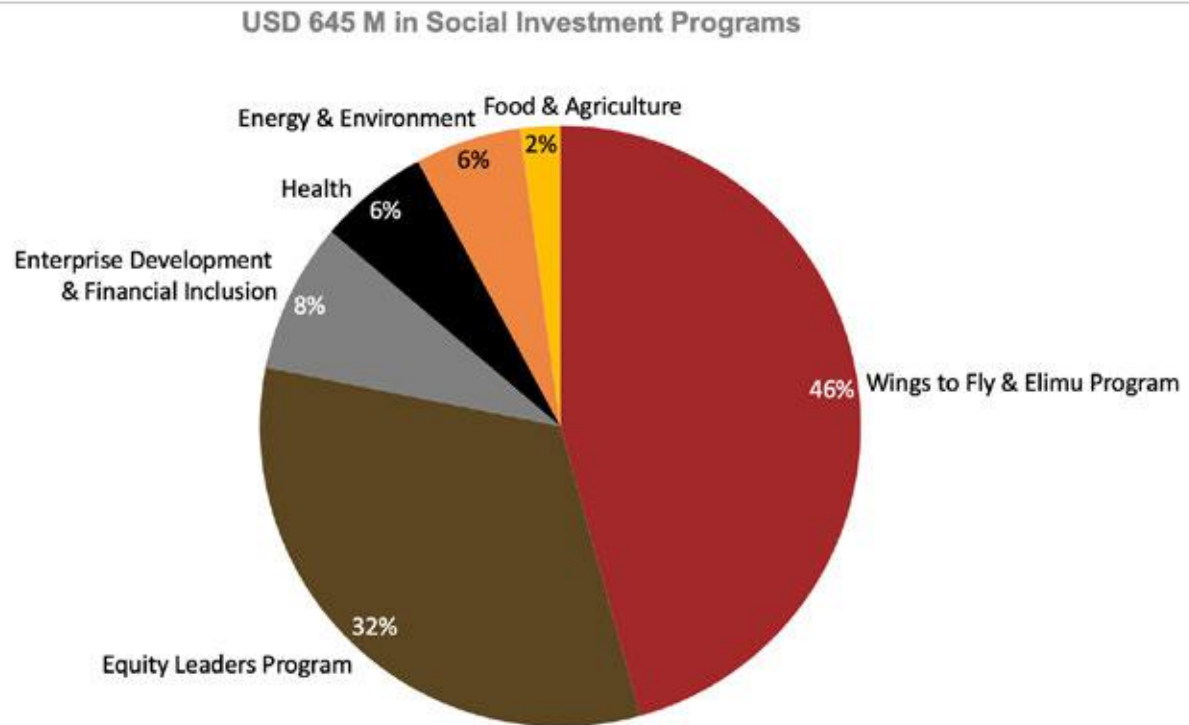
Cumulative Social Protection Disbursements [Kshs Bn']



- 5.34 Million Households reached with Kes 134.18 B disbursed in cash transfers cumulatively

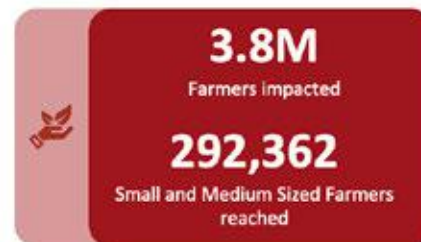
Focus Area 9 : Impact Investment and Sustainability

Impact & Social Investment Programs



Focus Area 9: Impact Investment and Sustainability

Shared Prosperity Business Model and its Social Impact





Business Validation

Global Ratings and Accolades

Moody's

Equity Bank Credit Rating

- National Rating: B3
- Global Rating: Aaa.ke/KE-1
- Rating Outlook: Negative Same as the sovereign rating

Brand Finance

World's strongest banking brands 2023

- Position 4 – in the World
- Brand Strength Rating (BSR) of AAA+
- World's TOP 500 most valuable banking brands 2023
- Position 291 – in the world
- Position 3 – in Africa

**The Banker
TOP 1000
WORLD BANKS 2021**

- Position 22nd in Africa;
- Position 761 largest bank globally,
- Position 149th in soundness (Capital Assets to Assets ratio),
- Position 71st profits on Capital
- Position 39th on Return on Assets



African Business Leadership Awards

- Lifetime Achievement Award 2023 - Dr. James Mwangi
- African CEO of the Year 2020 - Dr. James Mwangi

CCRI GLOBAL CREDIT RATING CO.
2023 | Local Expertise • Global Presence

Equity Bank Credit Rating

- Long Term Rating: AA-
- Short Term Rating: A1+
- Rating Outlook: Stable



- Dr. James Mwangi recognized among 50 Most Reputable Bank CEOs in Africa



2020 Oslo Business for Peace Award
Dr. James Mwangi.

**TOP 1000
WORLD BANKS 2020**

- Position 7 overall
- Position 5 on soundness
- Position 9 on growth performance
- Position 8 on return on risk
- Position 6 on leverage category
- Position 6 on profitability



- 2023 SME Financier of the Year – Africa - Platinum
- 2023 Product Innovation of the Year – Platinum
- 2023 Women Financier of the Year – Honorable mention
- 2022 Best Financier for Women Entrepreneurs - Platinum
- 2022 SME Financier of the Year - Africa - Silver
- 2022 Product Innovation of the Year - Honorable Mention



- Best Trade Finance Bank in Kenya 2023

Global Ratings and Accolades

 • Best Bank in Kenya 2023 • Best Bank in DRC 2023 • Best Bank for SME Banking 2023 • Best Bank for Digital Solutions 2023 • Best Bank for CSR in Kenya 2023 • Best Bank for Corporate Responsibility in Africa 2022 & 2023 • Africa best bank for SMEs 2021 • Excellence in Leadership in Africa 2020	 • Best Regional Bank - East Africa - Equity Bank 2021 • Socially Responsible Bank in Africa, 2020 • African Bank of the Year, 2018 • African Banker of the Year, 2018 (Dr. James Mwangi) • Best Retail Bank in Africa, 2017	 Dr. James Mwangi, named to the 3rd Annual 2019 Bloomberg 50 list	 • Bank of the Year - DRC 2020 • Bank of the Year - Rwanda 2020 & 2021 • Bank of the Year - South Sudan 2019, 2020 & 2021 • Bank of the Year - Uganda 2019 & 2021 • Bank of the Year - Kenya 2019
 • Visa Top Acquiring Award 2021 • Visa E-Commerce [Acquiring] Award 2021	 Finserve named Best in Banking/ Financial and Insurance Services	 • Best Bank for MSME Financing - Position 1 • Most Innovative Bank - Position 1 • Overall Winner - Position 2 • Best Client Case Study- Commercial - Position 2 • Best Bank Case Study- Bank Operations - Position 3 • Best Client Case Study - Promoting PWD Accessibility - Position 3	 • Mary Wamae - Winner Women on Board Awards 2021 • Equity Group Foundation - 2nd runners up Women on Board Awards Organization of the year

2023 National Banking Awards and Accolades



Brand	1. Best Overall Bank - 12 years running 2. Best Bank in Tier 1- 9 years running 3. Most Customer-Centric Bank 4. Best Bank in Sustainable CSR - 1st Runners Up 5. Best Bank in ESG Factors
Franchise Segment	1. Best Bank in Retail Banking 2. Best Bank in Mobile Banking 3. Best Bank in SME Banking 4. Best Bank in Agency Banking 5. Best Commercial Bank in Microfinance 6. Best Bank in Corporate Banking - 1st Runners Up
Product	1. Best Bank in Trade Finance 2. Best Bank in Agriculture and Livestock Financing 3. Special Judges Award for Product Innovation (Clean Energy Access at Institutional and Household Level) 4. Best Bank in Mortgage Finance - 2nd Runners Up 5. Best Bank in Internet Banking 6. Best Bank in Asset Finance - 1st Runners Up 7. Best Bank in Product Marketing 8. Best Bank in Product Innovation - 1st Runners Up

Global Ratings and Accolades

**Banking
500
2023**

Brand Finance®
The Most Valuable and Strongest Banking Brands



Equity Group, East and Central Africa's largest financial services Group, has been named the 4th strongest banking brand in the world. This is the Group's second consecutive appearance in the Brand finance Banking 500 rankings, with an impressive Brand Strength Index (BSI) score of 92.4 out of 100 and an elite AAA+ brand strength rating

World's strongest banking brands 2023

- Position 4 - in the World
- Brand Strength Rating (BSR) of AAA+

World's top 500 most valuable banking brands 2023

- Position 291 – in the world
- Position 3 – in Africa

Global Ratings and Accolades



Equity Group's MD and CEO, Dr. James Mwangi, was honoured in the 2019 Bloomberg 50 list. This is an honorary list of fifty innovators, entrepreneurs, and leaders who have impacted the global business landscape in measurable ways. Dr. Mwangi was lauded for his contribution in steering Equity Bank to have presence in the greater Central and Southern Africa region. He was honored alongside environmental activist Greta Thunberg, New Zealand Prime Minister Jacinda Ardern, CNN President and Warner Media Chairman Jeff Zucker, Singer and entrepreneur Rihanna, among others.

Global Ratings and Accolades

Dr. James Mwangi honouree, 2020 Oslo Business for Peace Award

Honourees are chosen by a prestigious Award committee consisting of past Nobel Prize winners in Peace Economics.

“Dr. James Mwangi receives the Award for his businessworthy values in championing financial inclusion for all in East and Central Africa. Dr. Mwangi helped achieve a social revolution by bringing banking services to people who previously had limited access to them bolstering Kenya’s GDP. Dr. Mwangi is an exceptional entrepreneur and humanitarian. The committee sees him as a shining example of how business leaders can accelerate change and help solve the world’s problems,” said Per Saxegaard, Founder of the Oslo Business for Peace Awards.



Global Ratings and Accolades

Equity Group Managing Director and Chief Executive Officer, Dr. James Mwangi was recognized and awarded the prestigious Lifetime Achievement Award at the All-Africa Business Leaders Awards held at Sun City, South Africa by the Africa Business News, the owners of CNBC Africa and Forbes Africa.

The All-Africa Lifetime Achievement Award is awarded to individuals who have made a remarkable impact on their industry, country and the continent over a period of a lifetime.

The award was presented to Dr. Mwangi by the Deputy President of South Africa, His Excellency Paul Mashatile and Dr. Rakesh Wahi, Co-Founder and Chairman of Africa Business News Group.

Dr. Mwangi's remarkable leadership has propelled Equity Group to become the largest bank in East and Central Africa, positively impacting communities and driving economic progress.

(Photo Courtesy of MaruAnele Fotografik)



The 2023 Kenya – DRC Investors' Roadshow

Kenya Segment

Equity Group hosted investors who participated in the Kenya and DRC Investors' Roadshow aimed at unlocking business networks and fostering trade and investment opportunities in Kenya, the Democratic Republic of Congo (DRC) and the East African region. The roadshow kickstarted in Nairobi and ran through a series of meetings and site visits in Kinshasa and Lubumbashi in the DRC showcasing the immense potential for economic growth and development.



US Ambassador to Kenya, Meg Whitman (right) and Equity Group Managing Director and Chief Executive Officer Dr. James Mwangi (left) engage in a fireside chat during the opening cocktail of the 2023 Kenya – DRC Investors' Roadshow.



Cabinet Secretary for Treasury, Prof. Njuguna Ndungú and Equity Group Managing Director and Chief Executive Officer Dr. James Mwangi engage in a fireside chat during the Kenya segment of the 2023 Kenya – DRC Investors' Roadshow.

The 2023 Kenya – DRC Investors' Roadshow

Kenya Segment (Continued)



The Central Bank of Kenya Governor, Dr Kamau Thugge (left), Karen Kandie, Director of Parastatals Reforms at the National Treasury and Planning (centre) and Equity Group Managing Director and CEO Dr. James Mwangi (right) during the official opening of the 2023 Kenya – DRC Investors' Roadshow in Nairobi



Guests follow proceedings during the official opening of the 2023 Kenya – DRC Investors' Roadshow in Nairobi.

The 2023 Kenya – DRC Investors' Roadshow

DRC Segment



Delegates arrive in Kinshasa and Lubumbashi for the DRC Segment of the 2023 Kenya – DRC Investors' Roadshow.

The 2023 Kenya – DRC Investors' Roadshow

DRC Segment (Continued)



Kenya's Ambassador to DRC, Amb. George Masafu gives remarks at the luncheon hosted by EquityBCDC during the Kenya and DRC Investors Roadshow in Kinshasa, DRC.



Equity Group Chairman Prof. Isaac Macharia (left) and Deputy Governor of Katanga Jean-Claude Kamfwa, during the Lubumbashi segment of the Kenya – DRC Investors Roadshow.

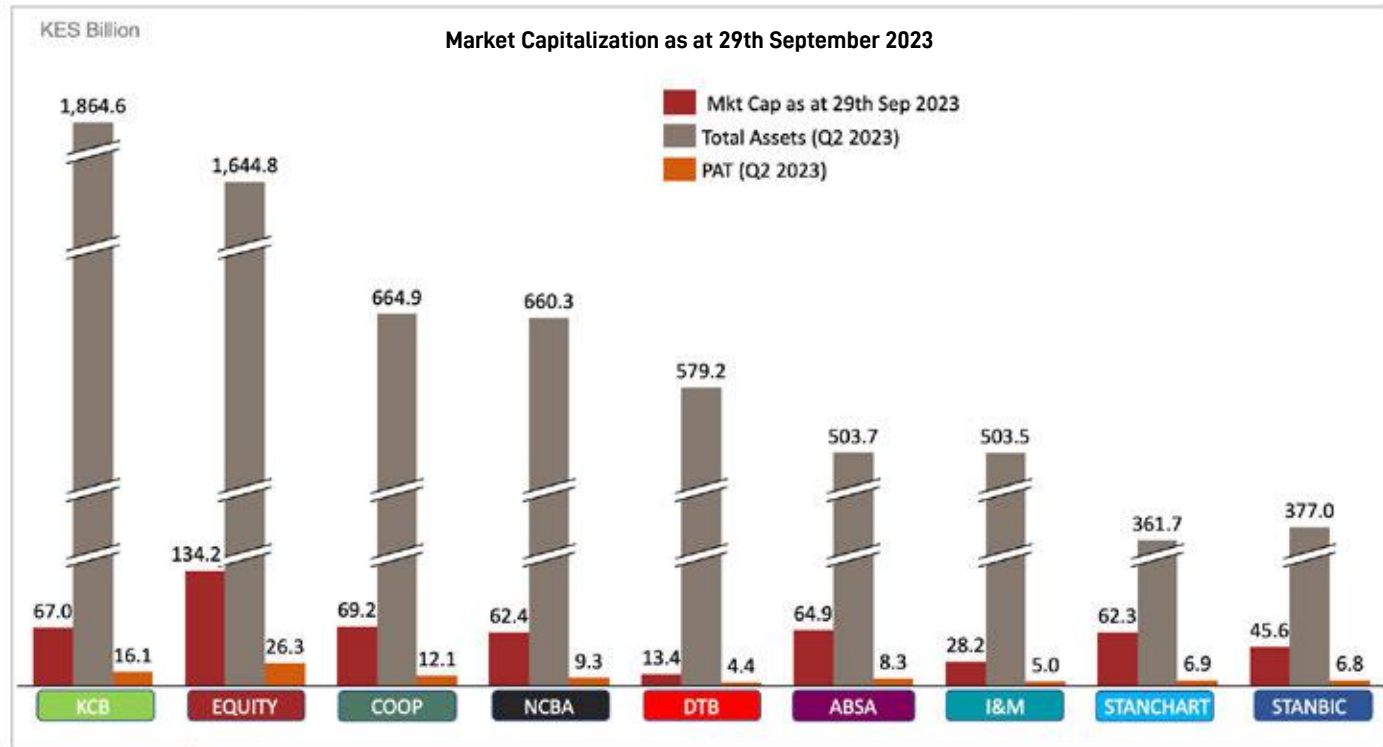


Deputy Governor of Katanga Jean-Claude Kamfwa, addressing delegates during the Lubumbashi segment of the Kenya – DRC Investors Roadshow.



From left to right: The Managing Director of Kibali Goldmine Cyrille Mutombo, The Director of the Cabinet of the Minister in charge of Industry Jean-Dieudonné Kavese, the President of Glencore DRC Marie Chantal Kanyinda and Equity Group Managing Director and CEO Dr. James Mwangi engage in a panel discussion under the theme of Unlocking Trade and Investment Opportunities in Kenya and DRC.

Market Validation



Market Capitalization Source: Business Daily October 02, 2023



Intermediation and Financial Performance

Balance Sheet

KES Billion	Q3 2022	Q3 2023	Growth
Assets			
Cash & Cash Equivalents	212.2	262.7	24%
Government Securities	366.5	445.2	21%
Net Loans	673.9	845.9	26%
Other Assets	111.1	137.4	24%
Total Assets	1,363.7	1,691.2	24%
Liabilities & Capital			
Deposits	1,007.3	1,208.6	20%
Borrowed Funds	151.6	214.0	41%
Other Liabilities	50.7	75.4	49%
Shareholders' Funds	154.1	193.2	25%
Total Liabilities & Capital	1,363.7	1,691.2	24%

Income Statement

KES Billion

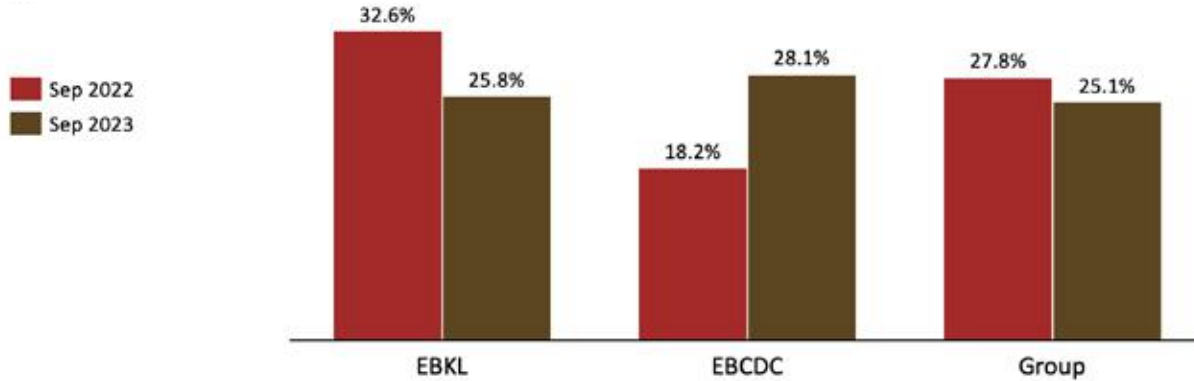
	Q3 2022	Q3 2023	GROWTH
Interest Income	84.2	111.1	32%
Interest Expense	24.4	38.5	58%
Net Interest Income	59.8	72.6	21%
Non-Funded Income	41.1	56.5	38%
Total Income	100.9	129.1	28%
Loan Loss Provision	8.6	17.7	107%
Staff Costs	17.3	23.1	33%
Other Operating Expenses	30.7	42.4	38%
Total Costs	56.6	83.2	47%
PBT	44.3	45.9	4%
Tax	9.9	9.7	-2%
PAT	34.4	36.2	5%
Earnings per share	8.8	9.2	4%

*Loan loss provision has been presented net of recoveries. In the CBK publication Loan Loss Provision is presented as a gross amount. The gross provisions and recoveries are as follows;

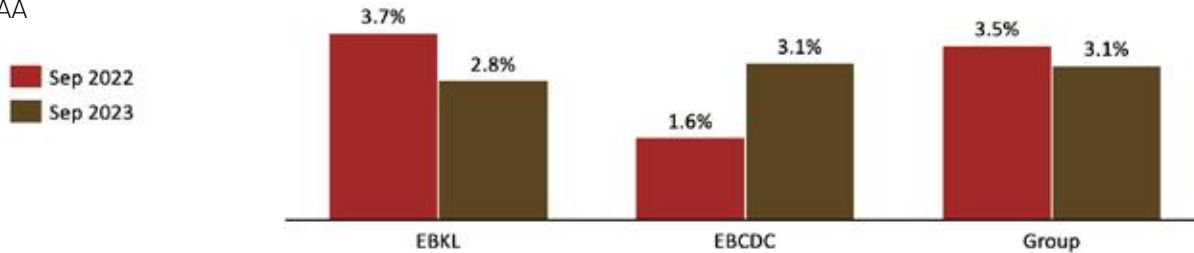
KES Bn	Q3 2022	Q3 2023
Gross loan loss provision	9.7	19.0
Loan recoveries	(1.1)	(1.3)
Net loan loss provision	8.6	17.7

RoAE and RoAA Trend

RoAE



RoAA

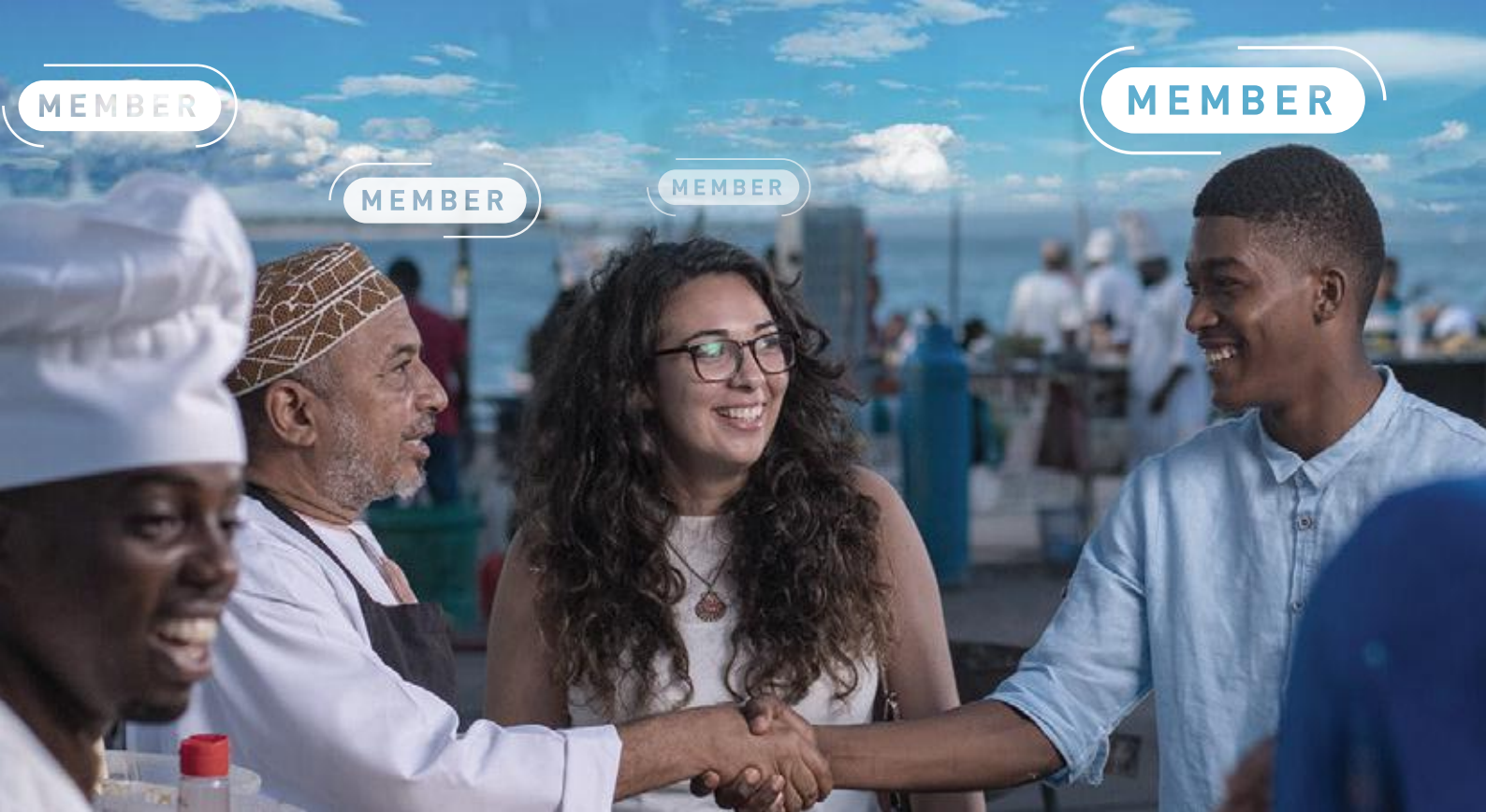


Financial Ratios

	EBKL	EBKL	EBCDC	EBCDC	Group	Group
	Q3 2022	Q3 2023	Q3 2022	Q3 2023	Q3 2022	Q3 2023
Profitability						
Yield on Loans	10.6%	12.4%	10.6%	9.7%	11.3%	12.1%
Yield on Government Securities	10.3%	11.6%	10.1%	12.1%	10.3%	11.5%
Yield on Interest Earning Assets	10.0%	11.8%	5.4%	7.8%	9.8%	11.0%
Cost of Deposits	2.5%	3.6%	1.3%	1.5%	2.3%	3.1%
Cost of Funds	3.0%	4.6%	1.8%	1.4%	2.9%	3.9%
Net Interest Margin	7.0%	7.2%	3.6%	6.4%	6.9%	7.1%
Cost to Income Ratio with provisions	49.5%	66.9%	71.9%	60.2%	56.6%	64.8%
Cost to Income Ratio without provisions	41.2%	47.9%	62.8%	49.8%	47.1%	50.2%
RoAE	32.6%	25.8%	18.2%	28.1%	27.8%	25.1%
RoAA	3.7%	2.8%	1.6%	3.1%	3.5%	3.1%
Asset Quality						
PAR	8.9%	15.8%	7.5%	6.1%	9.0%	12.2%
NPL Coverage	111.2%	63.8%	51.9%	91.1%	95.2%	67.2%
Cost of Risk	1.7%	3.9%	2.0%	2.5%	2.0%	3.2%
Leverage						
Loan / Deposit Ratio	65.1%	67.1%	45.4%	60.4%	66.9%	70.0%
Capital Adequacy Ratios						
Core Capital to Risk Weighted Assets	16.0%	15.2%	12.9%	11.7%	16.1%	15.2%
Total Capital to Risk Weighted Assets	21.2%	20.1%	14.7%	13.4%	20.7%	19.2%
Liquidity						
Liquidity ratio	67.5%	44.6%	153.9%	128.8%	51.8%	49.7%

2023 Guidance Vs Actual - Group

	Initial 2023 Guidance	Revised 2023 Guidance	Q3 2023 Actual
Loan Growth	25% - 30%	No change	26%
Deposit Growth	20% - 25%	No change	20%
Net Interest Margin	7.5% - 8.5%	7.0% - 7.5%	7.1%
Non-Funded Income Mix	40% - 43%	42% - 45%	43.7%
Cost to Income Ratio	40% - 45%	47% - 50%	50.2%
Return on Equity	25% - 30%	22% - 26%	25.1%
Return on Assets	3.6% - 4.3%	2.7% - 3.2%	3.1%
Cost of Risk	1.0% - 1.5%	3.0% - 3.5%	3.2%
NPL	10% - 12%	11% - 13%	12.2%
Subsidiaries Contribution (Assets)	45% - 50%	No change	47%
Subsidiaries Contribution (PBT)	30% - 35%	45% - 50%	54%

A group of four diverse people are shaking hands in a friendly manner outdoors. From left to right: a Black man in a white chef's hat, a man with a beard and a patterned headband, a woman with long curly hair and glasses, and a young Black man in a light blue shirt. They are all smiling. The background shows a bright blue sky with clouds and other people in the distance. Four white pill-shaped labels with the word 'MEMBER' in blue capital letters are overlaid on the image: one in the top left, one in the top right, and two in the upper middle area.

MEMBER

MEMBER

MEMBER

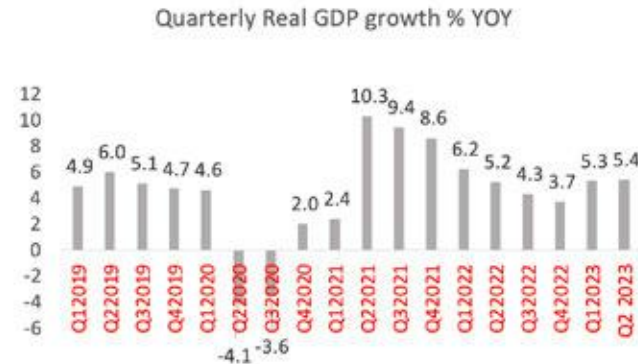
MEMBER

Macroeconomic Environment Indicators & Trends

Kenya: GDP growth of 5% (2023) vulnerable to tight policy

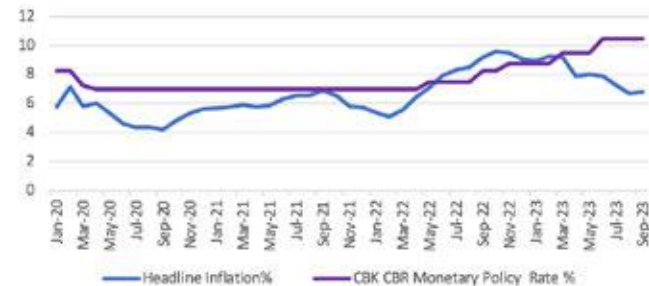
Higher cost of living, interest rates; tax burden, currency depreciation and El Nino may subdue growth

Kenya: Quarterly real GDP growth, % YoY



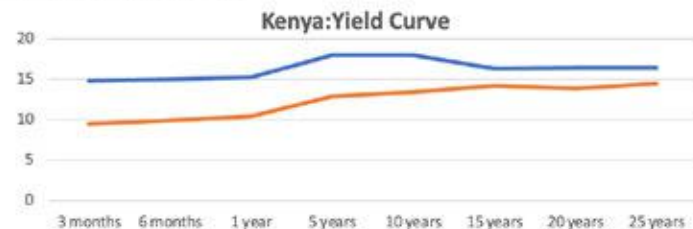
Kenya: inflation and policy interest rate

Headline Inflation vs CBK CBR Monetary Policy Rate



- **Agriculture recovers.** After contracting for five quarters, the agriculture sector grew by a strong 7.7% YoY in 2023 and was the biggest contributor to quarterly real GDP growth of 5.4% YoY.
- We forecast growth of 5.0% for 2023, a moderate increase from 4.8% in 2022 that will be driven by agriculture's recovery and services sector growth.

Kenya: Yield Curve %



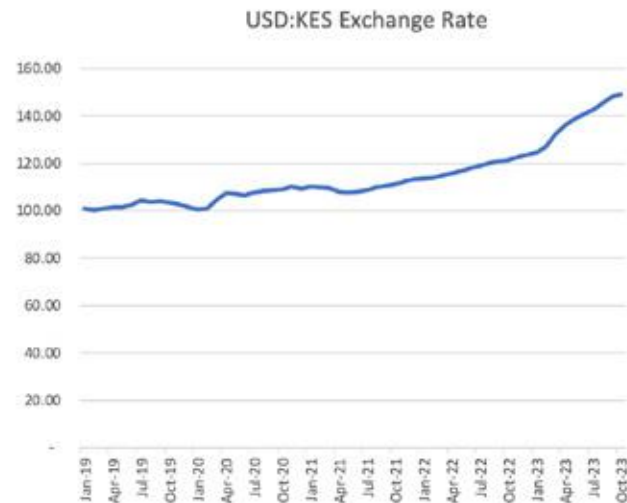
Kenya: vulnerable external position

Slowdown in foreign financial inflows

Kenya: Official foreign reserves



Kenya: exchange rate – KES/\$1

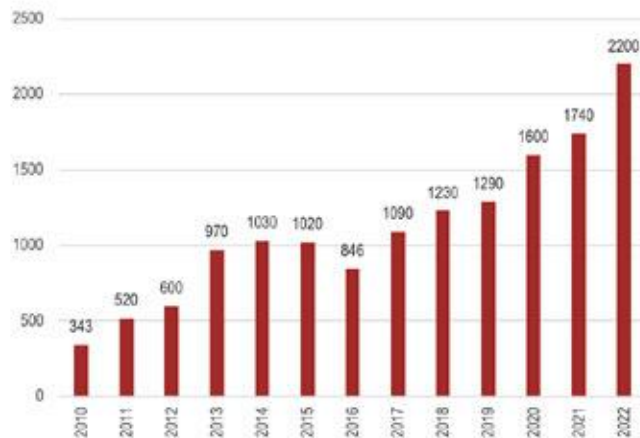


- FX Reserves are below 4 months of imports cover at 3.71 months on 6th October 2023 (USD\$ 6,913M) and multilateral concessional financing by IMF and World Bank as well as Regional Development Banks are expected to push reserves upward.
- The narrowing of current account deficit has not been enough to counter the impact of declining foreign financial inflows emanating from funding freeze of EMDEs due to higher US FED FFR; SOFR and risk premiums.
- The Kenyan shilling has depreciated by 19.76% YTD and 22.78% YOY to KES149.11/\$1 on 12th October 2023.

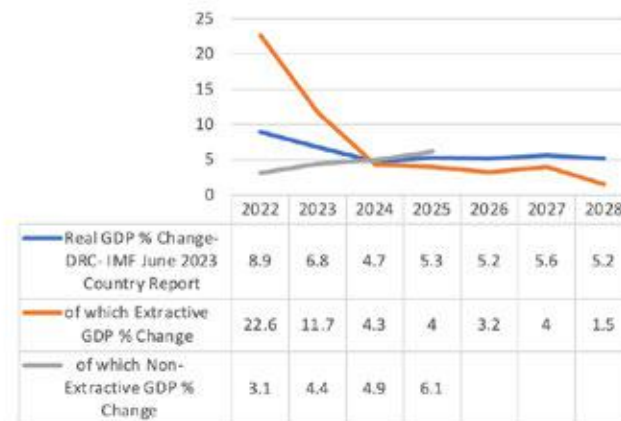
DRC – GDP growth driven by the extractive economy

Growth of extractive economy; GDP is stabilizing

DRC – copper production, thousands of metric tons



DRC – real GDP growth, %

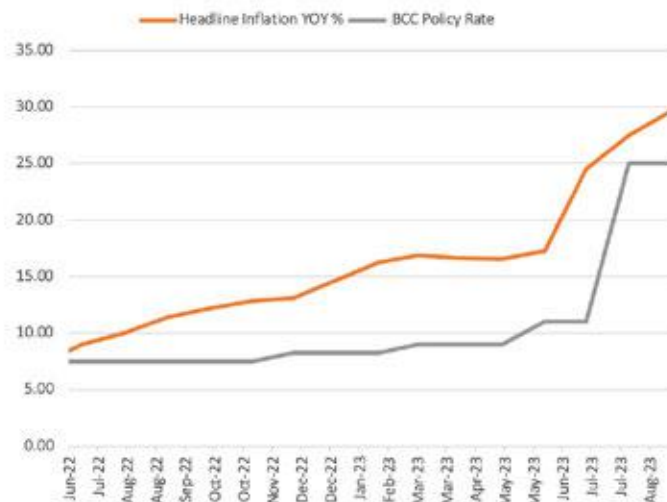


- The DRC economy grew by a brisk 8.9% in 2022, on the back of the acceleration of the extractive sector's growth to 22.6%.
- An expansion of mines and new smaller mines explains the increase in mining production, according to the IMF. However, the non-extractive economy grew by a relatively modest 3.1%.
- The DRC's growth is expected to moderate to 6.8% in 2023, owing to a slowdown in the extractive industry's growth to 11.7% in 2023 and further fall to 4.3% in 2024 and 4% in 2025.
- The non-extractive economy's growth is expected to strengthen to 4.4% in 2023 and further to 4.9% in 2024 and 6.1% in 2025.

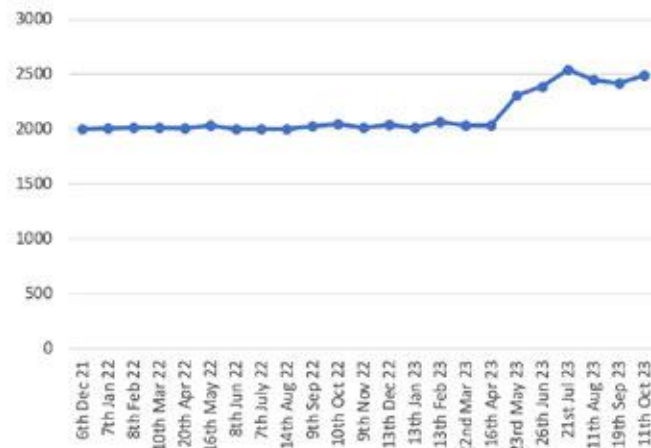
DRC – High runaway inflation

Aggressive BCC contractionary monetary policy response to tame inflation and stem capital flight to support CDF from Strong Dollar depreciation.

DRC – inflation and the benchmark interest rate



DRC – official exchange rate, CDF/\$1



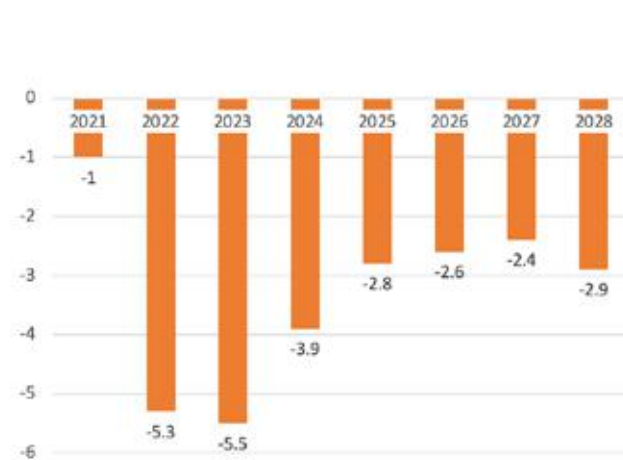
- The DRC's headline inflation accelerated to 29.71% YoY driven by government spending and CDF depreciation.
- The CDF was 21.92% YOY depreciated at CDF 2495.74/\$1 on 13th October 2023.
- BCC hiked its CBR by 1,400bps from 11% in July 2023 to 25% in August to tame rising inflation, slow down capital flight and support CDF.

Source: BCC

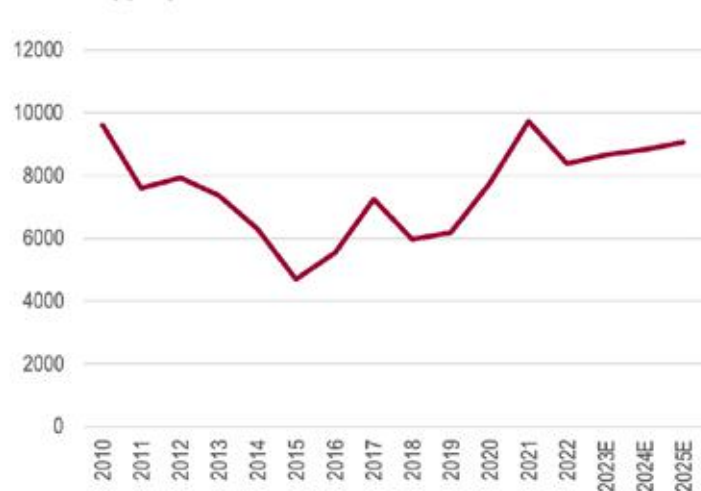
DRC – Strong copper price

Smaller current account deficit over medium term is positive for DRC's external position

DRC – current account, % of GDP



DRC – copper price, \$/mt

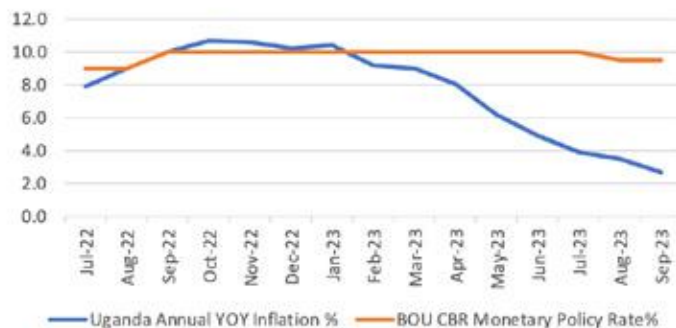


- The copper price is expected to remain strong over the medium term, which is partly why the current account deficit is projected to narrow over that period, which is positive for the DRC's external position.
- The risk to the current account is higher-than-planned government spending which would exert further pressure on the Congolese franc to depreciate.

Uganda: Restoration of low inflation

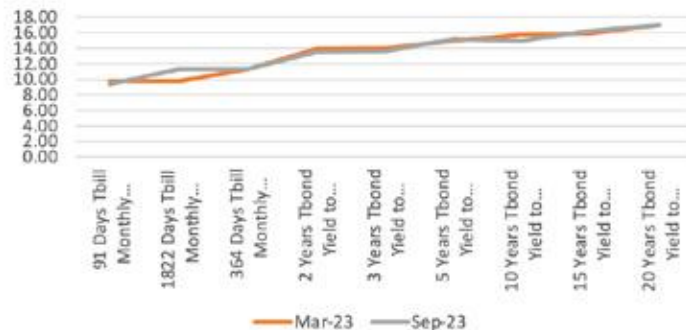
Fall in food inflation together with sharp and early BOU CBR rate hikes explain significant slowdown in inflation

Uganda: inflation and policy interest rate

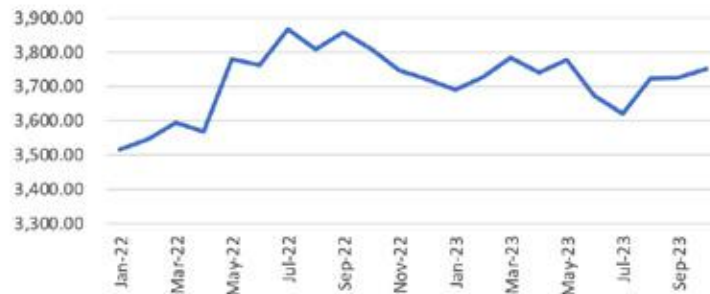


- Uganda's headline inflation plummeted down to 2.7% YoY in Sept 2023 due to the fall in food inflation and tight BOU monetary policy.
- MPC increased CBR by 350bps in 2022 to 10.0% but has since cut by 50bps to 9.5% as inflation was tamed below the 5% medium term target.
- We see inflation in the low-to-mid-single-digits in 2024.
- The shilling appreciated by 1.44% against the USD YTD to Ushs3,752/\$1 in early October.
- The UGX has also strengthened against currencies of its regional trade partners meaning it has become overvalued and may thus come under pressure to depreciate.

Uganda: Yield Curve



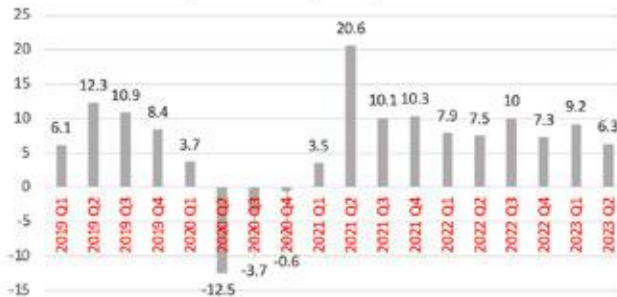
Uganda: foreign exchange rate UGX/\$1



Rwanda: Fast growth driven by services sector

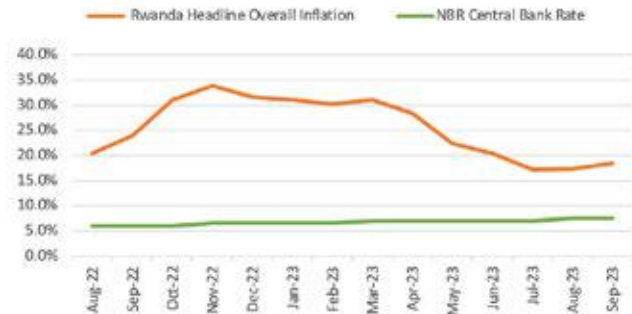
Tight fiscal and monetary policy and a disruptive El Nino may subdue growth

Rwanda: Quarterly real GDP growth, % YoY



- Rwanda's real GDP grew by 6.8% driven by services expansion by 10% , manufacturing by 8% while agriculture stagnated at 0% due to -3% slump in food crops production but this maybe restored from upcoming above average El Nino rains.
- Tight fiscal and monetary policy that saw NBR raise CBR to 7.5% to tame inflation which inched up to 18.4% in Sept 2023 is likely to subdue GDP growth to around 6.2% in 2023.
- We expect further NBR monetary policy tightening to bring inflation back into the single digits in 2024 leading to rise in the yield curve.
- The Rwandan Franc weakened by 16% YOY in October 2023 and 12.67% YTD to RWF 1,233.22/\$1.
- A widening current account deficit is putting the RWF under continued pressure to depreciate.

Figure 19: Rwanda: inflation & monetary policy interest rate



Rwanda: foreign exchange rate, Ushs/\$1

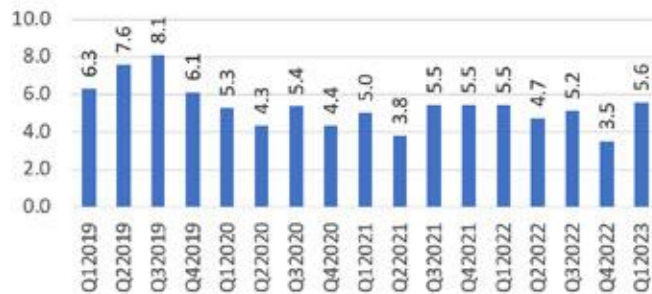


*Source National Institute of Statistics Rwanda; NBR

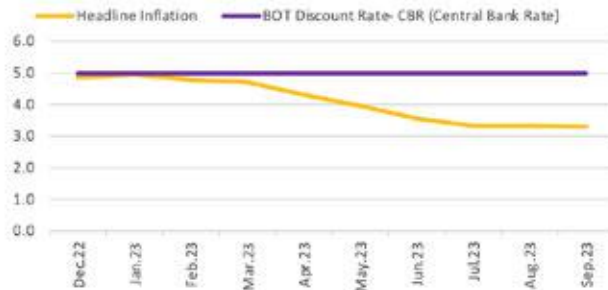
Tanzania: Pick up in GDP growth

Growth to average 7.0% in medium term driven by minerals and LNG gas

Tanzania: real GDP growth, % YoY

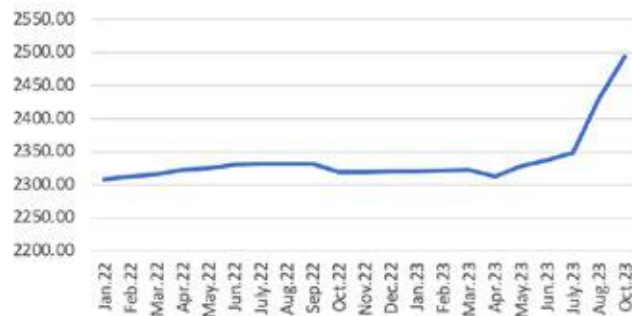


Tanzania: inflation and policy rate



- Tanzania's economic growth is expected to rise from 4.68% in 2022 to 5.2% in 2023 by the IMF from softer global commodity prices and improved in the domestic business environment.
- Growth is forecasted to rise to 7.0% over the medium term from government's reforms and LNG USD\$42bn project
- Inflation remains low within BOT 3%-8% target range and paused at 3.3% over July – Sept 2023 as CBR remains at 5%
- YOY the Tanzanian shilling has depreciated by 7.55% against the US dollar to Tshs2,494.11/\$1 on October 9th 2023.
- A continued recovery of tourism and softer global commodity prices are expected to help narrow Tanzania's current account deficit and support the TZS.

Tanzania: foreign exchange rate, Tshs/\$1

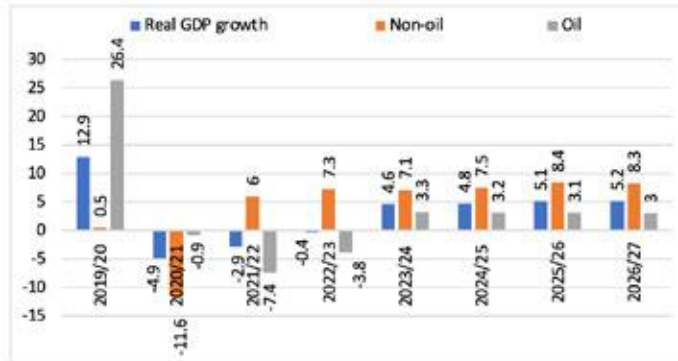


*Source: NBS; BOT; IMF

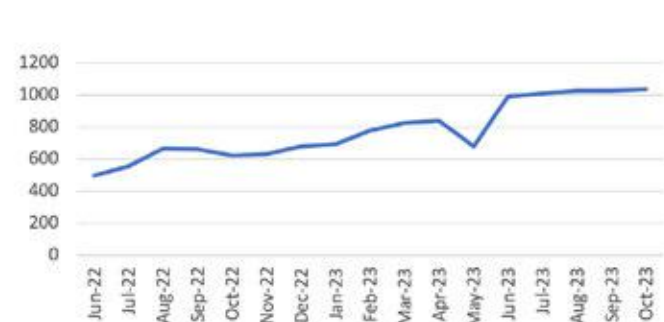
South Sudan: Fall in oil production

GDP growth and current account also undermined by instability in Sudan (Khartoum)

South Sudan – real GDP growth, %

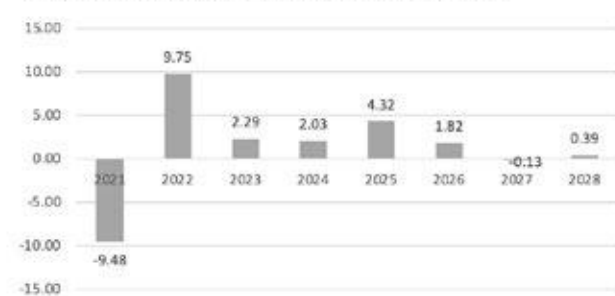


South Sudan: foreign exchange rates, SSP/\$1



- The oil sector – which accounts for 70% of GDP – saw production decrease from 170kbpd in FY2019/20 and is estimated to have averaged 150kbpd in FY2022/23 by the IMF.
- The government expects production to decrease further to 132k in FY2023/24, which is negative for growth with non-oil and agriculture sectors increasing GDP contribution.
- South Sudan started implementing IMF FX reforms in early 2021, including converging official and parallel exchange rates but both rates continues to be depreciated against the USD .
- The SSP was on 6th October 2023 YOY 66.17% depreciated against the USD due to de-dollarization following ban on USD denominated transactions.

South Sudan: current account deficit, % of GDP



*kbpd means thousand barrels per day

Case Studies

The Equity business model is a leading case study in many business schools around the world. In addition, many business schools, organizations and institutions regularly visit the Group to learn firsthand about the brand, its evolution and business strategy. Many financial institutions from around the world make bench-marking exposure visits.

Online: Click link below to read Equity case studies:

equitygroupholdings.com/knowledge-resource/#tab_case-studies

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Equity Brand Campaign

Today we celebrate over 15 Million Members empowered across 7 African markets to Learn, Grow, Dream, Create, Lead and Harvest. This is our One Equity spirit!

Online: Click link below to view video on Equity's celebration of it's Members

<https://www.youtube.com/watch?v=7eQd71SPUx8>

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Scan QR code below to download the Equity Group Holdings Plc 2022 Integrated Report and Financial Statements



Scan QR code below to view video:
Reflections on how the private sector can build back better by Equity Group Managing Director and CEO, Dr. James Mwangi in Arusha, Tanzania during the EAC Heads of State High Level Retreat for the Summit on the EAC Common Market



Scan QR code below to download the Equity Group Holdings Plc H1 2023 Investor Presentation



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